

ESTABLISHING OUR STRENGTH

We are equipped with the right structures, frameworks, and resources to maximise results and ensure long-term stability and strength.

Lions symbolise unparalleled strength, with their robust structures and frameworks enabling them to achieve remarkable outcomes. Their paws, capable of generating 1,400 lbs of force, exemplify their immense power. Similarly, mosaics are crafted from durable materials, designed to maintain their stability challenging conditions, embodying a spirit of lasting resilience and endurance.



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CORPORATE GOVERNANCE

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CHAIRMAN'S MESSAGE



G A R D Prasanna

Chairman

The operating environment during the year under review remained complex and dynamic, shaped by economic volatility, political tensions, regulatory developments, and rapid digital transformation. Amid an evolving landscape, our Board has remained steadfast in its oversight role, upholding strong governance structures and internal controls to safeguard the interests of depositors, investors, customers, and the broader community, while continuing to honour the social and fiduciary trust placed in us.

This year, we made significant strides in strengthening our governance ecosystem, aligning with both regulatory expectations and global best practices. LBF became one of the early adopters of the Sustainability Reporting Standards (SLFRS S1 and S2), issued by the Sri Lanka Accounting and Auditing Standards Monitoring Board. These standards have been seamlessly embedded into our risk management and reporting frameworks, enabling a more holistic view of ESG factors. In line with this, the scope of both the Board and Management Sustainability Committees was expanded to drive strategic ESG integration across the organisation.

We also reaffirmed our focus on digital resilience and cyber security. The successful re-certification under ISO 27001:2022 reflects our commitment to strengthening information security and IT governance in a fast-evolving digital risk landscape. To further future-proof our

Corporate Governance remains the cornerstone of LBF's sustained resilience and success. For over five decades, we have built a Governance Framework that goes beyond compliance, anchored in integrity, transparency, accountability, and fairness.

operations, we advanced the governance of artificial intelligence and data usage through a structured framework that emphasises ethics, accountability, and transparency.

Recognising the growing importance of stakeholder trust, the Board approved a set of new and revised policies ranging from personal data protection and whistleblowing, to anti-bribery and corruption underscoring our zero-tolerance stance on unethical practices. The proactive implementation of Personal Data Protection Act No. 9 of 2022 was a critical milestone, including the appointment of a Data Protection Officer and company-wide awareness initiatives.

The composition of our Board continues to reflect a balanced blend of experience, independence, and diversity. This year, we further enhanced Board effectiveness by appointing two (2) Independent Non-Executive Director with sustainability and corporate strategy expertise. Board independence and committee effectiveness were again affirmed through our annual self-evaluation process. Ongoing training sessions covering topics such as climate risk, AI ethics, and regulatory compliance ensured that Directors remained well-informed and forward-thinking in their oversight responsibilities.

In line with our strategy of embedding ESG into every aspect of decision-making, the Board-approved ESG Policy and Pledge provide a clear articulation of our commitments. Our initiatives from branch solarisation and the launch of green financing products, to calculating Scope 3 emissions reinforce our roadmap towards Sri Lanka's net zero goals by 2050. These efforts were closely monitored by the Board Sustainability Committee

and remain an integral part of our value creation strategy.

Throughout the year, the Board met regularly and discharged its fiduciary duties with rigour and independence. Enhanced focus was placed on operational risk governance through the formation of a new Operational Risk Management Committee and the realignment of risk management frameworks to emerging threats and opportunities. The internal audit function, risk committees, and compliance teams continued to play a central role in preserving the integrity of our internal control environment.

As we look ahead, we are well aware of the evolving regulatory, technological, and societal shifts that will shape the future of financial services. The Board is committed to strengthening the governance frameworks necessary for long-term success ensuring alignment with new sustainability disclosure standards, evolving data ethics, and the responsible use of emerging technologies.

On behalf of the Board of Directors, I extend my sincere appreciation to our shareholders, customers, regulators, and employees for their continued trust and support. Our governance ethos remains rooted in creating sustainable value responsibly, inclusively, and with purpose.

G A R D Prasanna
Chairman

30 May 2025

REPORT OF THE SENIOR INDEPENDENT DIRECTOR



Ashane Jayasekara

Independent Non-Executive Director/
Senior Independent Director

The Board has a strong representation of Independent Directors that helps to maintain objectivity of the Board which is vital for sound Corporate Governance. The Independence of each Director has been established based on the information and declaration submitted by each Independent Director.

The appointment of the Senior Independent Director was made as per the requirements stipulated in the Finance Business Act Direction No. 5 of 2021 Corporate Governance.

The appointment of a Senior Independent Director aims to strengthen the independent voice in Board proceedings and deliberations whether during formal meetings or through circular resolutions. In order to facilitate the functions of Senior Independent Director, a Board approved Terms of Reference is available which define the roles, responsibilities and authority of this function. To support this role a Board approved TOR is in place clearly outlining the responsibilities, authority and scope of the Senior Independent Director's function.

The Board has a strong representation of Independent Directors that helps to maintain objectivity of the Board which is vital for sound corporate governance. The Independence of each Director has been established based on the information and declaration submitted by each Independent Director. Accordingly, the Board of Directors has concluded that the all the Independent Directors of the Company are compliant with the independent criteria set by "Finance Business act direction no. 5 of 2021", "CSE listing Rule No. 9 Corporate Governance" and "Code of Best Practice of Corporate Governance issued by Institute of Chartered Accountants of Sri Lanka".

During the year under review, two (2) meetings were conducted by the Senior Independent Director with the Non-Executive Directors without the presence of Executive Directors to discuss matters relating to the Company and the operations of the Board.

As required by the "Finance Business act direction no. 5 of 2021", the Non-Executive Directors have assessed the performance of the Chairman of the Board.

Ashane Jayasekara

Independent Non-Executive Director/
Senior Independent Director

30 May 2025

CORPORATE GOVERNANCE

1 GOVERNANCE PHILOSOPHY

1.1 Approach to Governance

Strong Corporate Governance has always been the cornerstone of LBF's success. The Corporate Governance framework of LBF provides a solid foundation for conducting business in a manner that aligns with stakeholder expectations. Guided by this framework, the Board steers the Company towards achieving its strategic objectives and delivering positive outcomes for all stakeholders.

The Governance philosophy of the Company is based on providing a control framework for the Board and its Committees to execute their fiduciary responsibilities. This is achieved by ensuring transparency, accountability, fairness and independence in their decision making. However, we believe Corporate Governance is not just limited to creating checks and balances; it is fundamentally about creating organisational excellence that enhances employee and customer satisfaction and increases shareholder value that upholds our ethics and principles.

We believe that our Company should go beyond mere adherence to regulatory requirements. Our corporate structure, business operations, and disclosure practices are strictly aligned with our Corporate Governance philosophy. At the core of this philosophy is a commitment to system-driven performance and performance-oriented systems, which we prioritise to ensure transparency, efficiency, and accountability. The Board leads the Company with integrity and competence, fostering responsible, fair, and transparent decision-making. By upholding these principles, we protect the interests of all shareholders, particularly minority shareholders, while driving the achievement of strategic objectives, delivering positive outcomes over time, and creating sustainable value for stakeholders.

1.2 Disclosures on Governance

In accordance with regulatory requirements and international best practices, the Company has included comprehensive disclosures regarding its adherence to key governance standards in the following Annexures,

1. Compliance with the Finance Business Act Direction No. 5 of 2021 Corporate Governance issued by Central Bank of Sri Lanka is given on pages 491 to 510
2. Compliance with Colombo Stock Exchange Listing Rule, Section No. 7.6 - Contents of Annual Report and Section No. 9 – Corporate Governance is given on pages 527 to 532
3. The Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka is given on pages 511 to 525

1.3 Assurance on Governance

Internal Assurance

The Annual Report of the Board of Directors, along with the Directors' and Sub Committee Reports presented on pages 282 to 304, the Board of Directors reaffirms its commitment to accountability, integrity, and transparency across all facets of the Company's operations. These reports serve as a clear testament to the Board's unwavering dedication to the strong Corporate Governance culture.

External Assurance

The Company's External Auditors, Messrs KPMG, have provided their Assurance Statement to the CBSL after reviewing the Company's compliance with the Direction No. 5 of 2021, Corporate Governance.

1.4 Approach towards Global Standards

Company's approach to sustainability and climate-related disclosures are firmly rooted in emerging global standards, including SLFRS S1 and S2. These standards serve as a guiding framework for identifying, assessing, and managing both material risks and opportunities in a comprehensive and forward-thinking manner. We are deeply committed to sustainability reporting that not only highlights our performance but also underscores our resilience in addressing evolving environmental and social and governance challenges.

Incorporating globally recognised frameworks such as the Global Reporting Initiative, the United Nations Sustainable Development Goals, and the United Nations Global Compact, we ensure our strategies align with best practices in corporate responsibility. These frameworks help us embed sustainability into the heart of our operations, ensuring transparency, accountability, and a commitment to inclusive engagement with our diverse stakeholder groups.

By adhering to these internationally recognised standards, we reinforce responsible business practices, strengthen our sustainability commitments, and foster greater trust and confidence among our stakeholders.

2. EMERGING TRENDS IN CORPORATE GOVERNANCE

Corporate Governance is undergoing a dynamic transformation, driven by heightened expectations around sustainability, technology, and accountability. ESG considerations are now integral to boardroom discussions, with investors and regulators demanding greater transparency in climate disclosures, social equity, and ethical leadership.

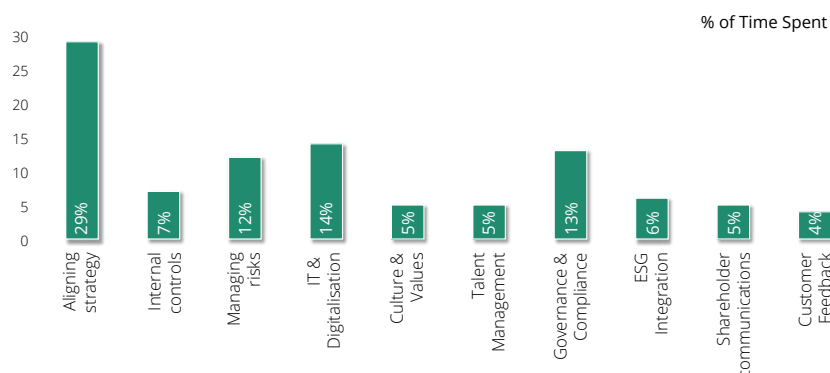
Artificial Intelligence (AI) governance has emerged as a critical area, as organisations deploy advanced algorithms in decision-making. Boards are now responsible for ensuring that AI systems are explainable, fair, and compliant with evolving ethical standards and data regulations.

In parallel, the governance and risk management of models, particularly

financial and predictive models, have gained prominence. Institutions are adopting rigorous model validation frameworks, stress testing, and monitoring to mitigate systemic and operational risks. Regulatory bodies, including the Basel Committee and International Accounting Standards Board (IASB), are emphasising model governance as essential for financial stability and stakeholder trust.

3. CORPORATE GOVERNANCE HIGHLIGHTS 2024/25

Board Priorities



Key Shareholder Communications

TOPIC	DATE
Final Dividend announcement	27 May 2024
Annual Report 2023/24	04 June 2024
Appointment of Company Secretary	11 Jun 2024
Annual General Meeting	28 June 2024
Q1 Performance	17 July 2024
Q2 Performance	16 Oct 2024
Appointment of Directors	18 Nov 2024
Q3 Performance	22 Jan 2025
Interim Dividend announcement	19 Feb 2025
Q4 Performance	21 May 2025

Implementation of SLFRS S1 and S2

- Enhancement of composition of BSC by appointing INED with related skills and expertise
- Broadening the mandate of Board and Management level sustainability committees to align with established standards (SLFRS S1 & S2) and regulatory requirements
- Implementation of Board approved ESG Policy
- Adopting an integrated approach to identifying and managing risks and opportunities associated with SLFRS S1 and S2
- Training and awareness on SLFRS S1 and S2 to the employees including BOD
- Alignment of integrated risk management framework to cater SLFRS S1 S2 requirements

IT Governance

- Re-certification of ISO 27001:2022
- Further strengthen the information security and IT Governance team to align with cybersecurity risks
- Well-structured approach on AI and cybersecurity governance.
- Higher investments on information and cybersecurity aspects

Key governance initiatives

- Appointment of two Independent Non-Executive Directors to strengthen the Board's independence
- Formation of Operational risk management committee with a TOR
- Review and update of operational risk management framework
- Review and update of 70 policies, procedures & TORs
- Fully adoption of section 9 of CSE listing rules

Governance Strategies for Future Readiness

- Proactive PDPA initiatives – Appointment of DPO, review and update of PDP Policy, implementation of provisions of PDP act
- Developing Incident reporting mechanism relating to Operational Risk Management

CORPORATE GOVERNANCE

GRI: 2-9

4. FRAMEWORK FOR GOVERNANCE

Our Governance Framework is firmly anchored on four key pillars: competent leadership, robust internal controls, a strong risk culture, and unwavering accountability to our stakeholders. These principles form the foundation of our commitment to transparency, efficiency, and ethical business practices.

We believe that achieving a harmonious balance between continuity and fresh

perspectives on the Board is essential for fostering innovation while maintaining stability. The Board plays a central role in shaping our governance standards, ensuring they align with the evolving expectations of our stakeholders.

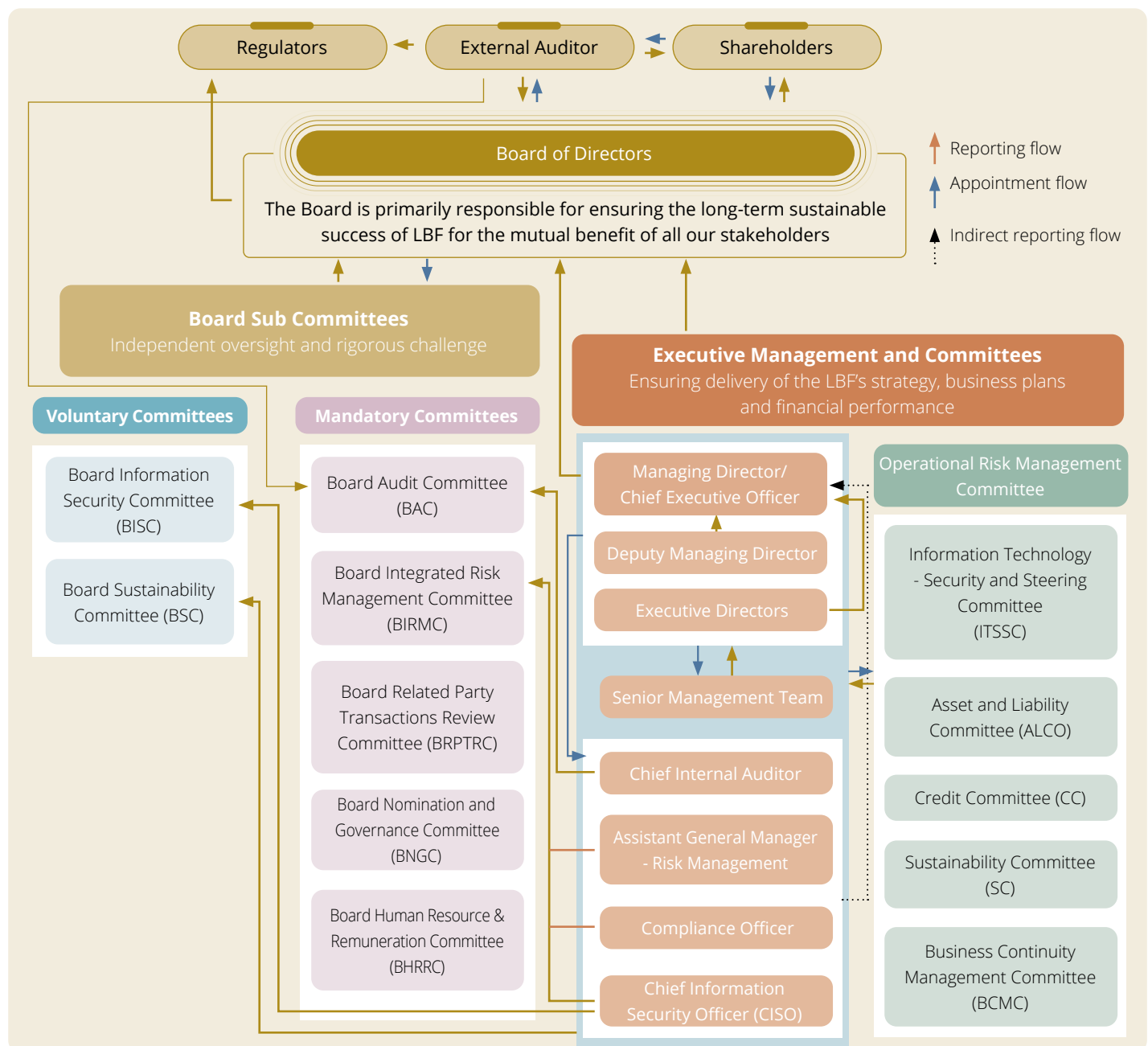
Our leadership model is designed to promote an effective distribution of power, ensuring that decision-making is not only accountable but also independent. This balance of authority fosters a governance environment where transparency and

responsibility are prioritised, and where every decision is made with the long-term interests of our stakeholders in mind.

4.1 Governance Structure

LBF's commitment to Governance is brought to life through a clear Governance structure and strong Governance Framework that collectively supports the Group's strategy and decision making processes to ensure business continuity and drive growth in order to achieve stakeholder value creation goals.

The Governance structure of the Company is as follows:



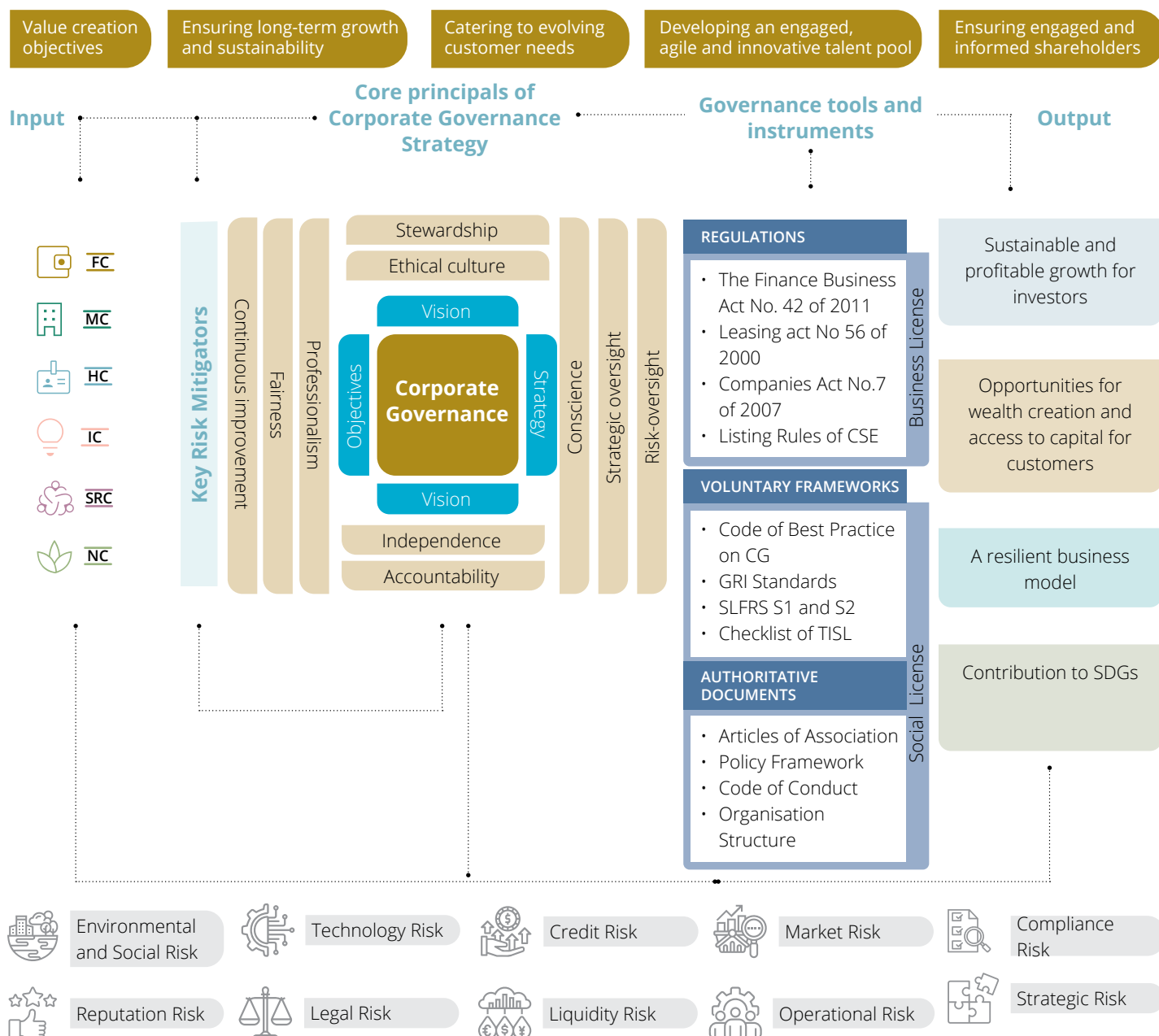
4.2 Value Creation through Governance Framework

As a Company engaged in the business of finance, our business license is issued by the Monetary Board of the Central Bank of Sri Lanka, which also issues directions from time to time. The Board is also cognizant of the need to maintain the trust of its depositors and the confidence of its

borrowing customers to act in good faith as custodians of their wealth and providers of capital for their needs. In essence, this reflects our commitment to reserving our social license to operate. Our Governance Framework is designed to ensure that these two licenses, which are necessary for our continuity, are maintained without any impairment.

The legal enactments and regulations support our business licenses, while we look to a range of voluntary frameworks and internal policies adopting best practices to support the social license, as reflected in the Governance Framework. Arguably, the social license is perhaps more fragile than the business license, and the Board and Senior Management are aware of the importance of safeguarding it.

VALUE CREATION THROUGH CORPORATE GOVERNANCE



CORPORATE GOVERNANCE

4.3 Policy Framework

LBF has a comprehensive policy framework that continues to be updated to reflect changes to regulatory requirements, best practice and our own findings. The policies that were updated during the year are set out below:

Policies relating to Board Matters and communication 3 ✓ • Dividend Policy • Succession Plan for Key Responsible Persons • Delegation of Authority • Policy on Corporate Disclosures New • Policy on Matters relating to Board of Directors New • Policy on Relations with Shareholders and Investors New	Other Products and Services 11 ✓ • Foreign Currency Operations – Policy Manual • Policy & Procedure for Development of new Products, Processes & Systems • Procurement Manual- Administration, IT and Marketing Department • Accessibility Policy New • Financial Consumer Protection Policy New	Risk Management 11 ✓ • TOR of BIRMC • TOR for ORMC New • Integrated Risk Management Framework • Operational Risk Management Framework and Policy • Risk Appetite Statement
Governance, Audit and Compliance 14 ✓ • Board Audit Committee Charter • AML/CFT and KYC Policy • Board Sustainability Committee – TOR • Policy on Corporate Governance, Nominations and Re-election New • Policy on Board Committees New	Financial Reporting and Asset Management 8 ✓ • Impairment Policy Manual • CBSL Reporting Regulation Manual • Finance Manual • Policy on control and management of company assets and shareholder investments New	Liquidity and Capital Management 4 ✓ • Asset and Liability Management and Liquidity Management Policy • Investment Policy • ALCO Charter
Human Resources 3 ✓ • Human Resource Policy • Code of Conduct • Remuneration Policy	IT and Information Security 8 ✓ • Information Security Policy • Disaster Recovery Plan • Information Asset Management Procedure	Credit 8 ✓ • Credit and Operations Manual • Credit Committee Charter • Recovery Procedure Manual

 ✓ No. of Board Approved Policies



▶ VIDEO 12

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5 COMPETENT LEADERSHIP

5.2 The Board

CASL code principle (A.1) Every public company should be headed by an effective Board, which should direct, lead and control the Company



The Board of Directors holds ultimate responsibility for the overall governance, strategic direction, and performance of the Company. As the highest governing authority, the Board provides strategic leadership and ensures that management and operational frameworks align with the Company's mission and long-term goals. It exercises close oversight across all functions, with a focus on effective risk management, compliance, and internal controls. Through policy guidance and performance monitoring, the Board plays a key role in driving sustainable growth and protecting stakeholder interests.

In addition to its leadership and oversight functions, the Board is committed to upholding strong ethical standards, transparency, and accountability throughout the organisation. It actively promotes a culture of integrity and continuously reviews the governance framework to reflect global best practices and evolving expectations. This commitment ensures the Company maintains a solid reputation, fosters stakeholder trust, and remains resilient in a dynamic business environment. By reinforcing sound governance at every level, the Board helps secure the Company's long-term success and its ability to adapt to future challenges while delivering consistent value to all stakeholders.

5.2 Governance Structure and Composition

CASL code principle (A.10) Shareholders should be kept advised of relevant details in respect of Directors



The size and composition of the Board are considered appropriate, reflecting the current scale and geographic footprint of our operations. The Board comprises a balanced mix of Executive, Non-Executive, and Independent Non-Executive Directors. This balance enables the Board to provide clear and effective leadership across all areas of company's business activities.

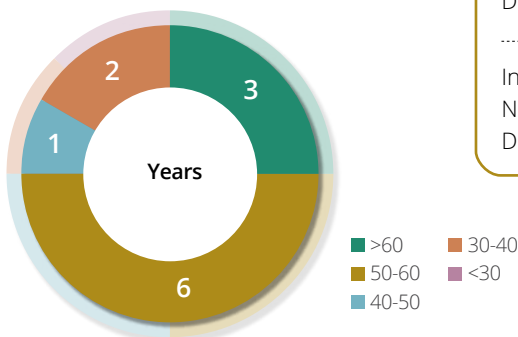
The views of Non-Executive and Independent Non-Executive Directors carry significant weight in Board deliberations, ensuring robust strategic oversight and leadership for the Company. To support this, Company has appointed Directors who are respected professionals, academics, and business leaders, each of whom has held senior positions within their respective fields and brings the appropriate calibre and expertise to the Board.

In addition, the Board benefits from healthy age and gender diversity, bringing fresh perspectives that enhance the sustainability and resilience of our Business. To further strengthen governance, Non-Executive Directors meet during the year, without the presence of Executive Directors, to review management effectiveness. Separate sessions are also held annually for Independent Directors to discuss governance matters, thereby reinforcing the effectiveness of the Board in managing the affairs of both the Company and the Group.

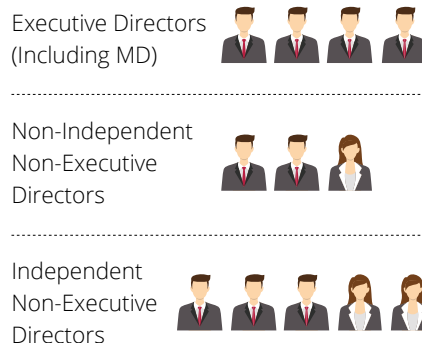
Gender Representation



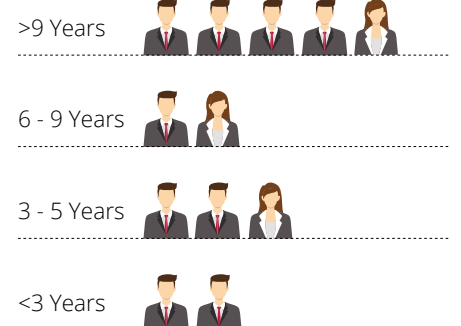
Age Diversity



A Balanced Board



Tenure of Services



CORPORATE GOVERNANCE



BOARD OF DIRECTORS



Left to right

Ms. Ashwini Natesan - Independent Non-Executive Director, **Mr. Dharmadasa Rangalle** - Non-Executive Director, **Mr. Ashane Jayasekara** - Independent Non-Executive Director/Senior Independent Director, **Mr. Sumith Adhihetty** - Managing Director, **Mr. Piyal Hennayake** - Independent Non-Executive Director, **Ms. Yogadinusha Bhaskaran** - Non-Executive Director



Left to right

Mr. Priyantha Talwatte - Independent Non-Executive Director, **Mr. G A R D Prasanna** - Chairman/Non-Independent Non-Executive Director,
Mr. B D A Perera - Executive Director, **Mr. Niroshan Udage** - Deputy Managing Director, **Mr. Ravindra Yatawara** - Executive Director,
Ms. Yanika Amarasekera - Independent Non-Executive Director

CORPORATE GOVERNANCE

Mr. G A R D Prasanna

Appointed to the Board

Appointed to the Board on 1st December 2021 and as the Chairman of the Board of Directors on 1st March 2022.

Role

Chairman / Non-Independent Non-Executive Director

Skills and Experience

He has extensive experience in various business management strategies and is a business leader with a diverse background in manufacturing, banking and finance, leisure, plantations and hydro-power generation. He has many years of experience in managing businesses and has gained substantial governance experience through his leadership of boards of both quoted and unquoted companies.

Current Appointments

He currently holds directorships in fifteen other companies, including serving as a Non-Independent Non-Executive Director of Royal Ceramics Lanka PLC, Managing Director of Wise Property Solutions (Pvt) Ltd, Executive Director of Wise Homes (Pvt) Ltd and Grandmark (Pvt) Ltd, and as a Non-Executive Director of Rocell Bathware Limited, Rocell Ceramics Distributors (Private) Limited, Rocell Properties Limited, Country Energy (Private) Limited, La Forteresse (Private) Limited, Delmege Forsyth & Co. (Shipping) Ltd, Lewis Shipping (Pvt) Ltd, Delmege Air Services (Pvt) Ltd, Delmege Aero Services (Private) Limited, Delmege Insurance Brokers (Pvt) Limited, and Delmege Airline Services (Private) Limited.

Former Appointments

Previously, Mr. Prasanna served as Director of Lanka Ceramics PLC, Delmege Forsyth & Co. Ltd, Delship Services (Pvt) Ltd and Lewis Brown Air Services (Pvt) Ltd. He was also the Chairman of Pan Asian Banking Corporation PLC and held directorships at Tekro Holdings (Pvt) Ltd, Delship Services

(Pvt) Ltd and Hayleys Global Beverages (Pvt) Ltd. Furthermore, he served as Director of Delmege Forsyth & Co. (Exports) (Pvt) Ltd, Delmege Coir (Pvt) Ltd, Delmege Aviation Services (Pvt) Ltd and as Alternate Director to Mr. K D D Perera of Lanka Tiles PLC.

Mr. Ashane Jayasekara

Appointed to the Board

On 30th October 2017, and appointed as Senior Independent Director on 1st March 2022.

Role

Independent Non-Executive Director (Senior Independent Director)

Skills and Experience

Mr. Jayasekara is a Fellow Member (FCA) of the Institute of Chartered Accountants of Sri Lanka, a Fellow Member (FCMA) of the Chartered Institute of Management Accountants – UK and a Fellow Member (FBCS) of the British Computer Society - UK. He holds an Associate Membership (AIArb) of the Singapore Institute of Arbitrators. He is a Member of the Council of the University of Colombo. He has a Bachelor of Science Degree [Hons] in Information Systems from London Guildhall University and a Master of Business Administration from the University of Southern Queensland. He also holds a Master of Laws (LLM) from Cardiff Metropolitan University, specialising in Information Technology and Intellectual Property. Mr. Jayasekara is a Certified Internal Auditor [IIA - USA], Certified Fraud Examiner [ACFE - USA], Certified Information Systems Auditor [ISACA - USA] and a Computer Hacking Forensic Investigator [EC Council - USA].

He has over 20 years of experience in the fields of internal audit, cyber security, fraud investigations, corporate governance, risk management and internal controls. His experience spans private, publicly listed, multinational and government enterprises across a wide range of sectors.

He has overseen many forensic audits and provided litigation support for cases ranging from arbitration hearings to Magistrates and High Court cases. Mr. Jayasekara has also served as a consultant to local government and state-owned enterprises on the development of enterprise risk management policies and IPPF-based internal audit manuals. He is a visiting faculty member at leading state and private sector universities and has played a pioneering role in the introduction and delivery of Fraud & Forensic Accounting as a subject in undergraduate and postgraduate programmes in Sri Lanka.

Current Appointments

He holds directorships in five other companies, including:

Deputy Managing Partner of BDO Partners Sri Lanka, Managing Director of BDO Partners (Pvt) Ltd, Independent Non-Executive Director of National Savings Bank, Director of SC Securities (Pvt) Ltd and Staff Link Consulting (Pvt) Ltd.

He is also a Council Member of the Institute of Chartered Accountants Sri Lanka, a Council Member of University of Colombo, President of ISACA Sri Lanka Chapter (affiliated to ISACA Global USA), a Member of the Global Advisory Council of the Association of Certified Fraud Examiners USA, a Member of the Global Advisory Board on Computer Forensics of the EC Council USA.

Former Appointments

Managing Partner of BDO Maldives, Director of BT Communication Lanka (Pvt) Ltd (subsidiary of British Telecom Global Services UK), Director of BDO BPO Services (Pvt) Ltd, Director of BDO Prime Consultants (Pvt) Ltd, President of the Institute of Internal Auditors Sri Lanka (affiliated to IIA Global USA) in 2012/13 and Chairman of the Integrated Reporting Council of Sri Lanka.

Mr. Sumith Adhihetty

Appointed to the Board

On 10th December 2003

Role

Managing Director

Skills and Experience

Mr. Adhihetty is a well-known marketing professional in the marketing field with over 46 years of extensive experience in the financial sector.

Current Appointments

He currently holds directorships in eight other companies viz: Non-Executive Director of Vallibel One PLC, The Fortress Resorts PLC, LB Microfinance Myanmar Company Limited, Greener Water Ltd., Summer Season Ltd., Summer Season Mirissa (Pvt) Ltd., Summer Season Residences Ltd., and La Forteresse (Pvt) Ltd.

Former Appointments

Mr. Adhihetty previously served as Deputy Managing Director of Mercantile Investments Limited, Non Executive Director of Multi Finance PLC and as a Director of Nuwara Eliya Hotels Company Limited, Grand Hotel (Private) Limited, Royal Palm Beach Hotels Limited, Tangerine Tours Limited, Security Ceylon (Private) Limited, Vallibel Finance PLC and Pan Asia Banking Corporation PLC. He also held the position of Managing Director of The Fortress Resorts PLC.

Mr. Niroshan Udage

Appointed to the Board

On 1st January 2007

Role

Deputy Managing Director

Skills and Experience

Mr. Udage holds a Bachelor's Degree in Science from the University of Colombo and has 34 years of experience in the leasing and finance sector. This includes 10 years at Lanka Orix Leasing Company PLC and 3 years at Mercantile Investments Limited before joining LB Finance PLC

in 2004. He has undergone extensive training in Strategy and Management in Banking conducted by International Development Ireland Ltd in Dublin and London. Additionally, he completed the High Potentials Leadership Programme at Harvard Business School in Boston, MA, USA, in 2012.

Current Appointments

He is a Non-Executive Director of LB Microfinance Myanmar Company Limited, and a Council Member of The Finance Houses Association of Sri Lanka (FHA).

Former Appointments

Director of Hayleys Fibre PLC, Multi Finance PLC, Chairman of the Finance Houses Association of Sri Lanka (FHA), Member of the Financial System Stability Consultative Committee established by the Central Bank of Sri Lanka, and Director of the Credit Information Bureau of Sri Lanka (CRIB).

Mr. B D A Perera

Appointment to the Board

On 1st January 2007

Role

Executive Director

Skills and Experience

He is an Associate Member of the Chartered Institute of Management Accountants (ACMA), CGMA (UK) and holds a BSc (Business Administration) Special Degree from the University of Sri Jayawardenepura. He successfully completed the High Potentials Leadership Programme in 2012 at Harvard Business School in Boston, MA, USA. With over 27 years of experience in the leasing industry, his career includes positions at Commercial Leasing Company Limited, Lanka Orix Leasing Company PLC and a Merchant Bank in Bangladesh.

Current Appointments

He is a Non-Executive Director at LB Microfinance Myanmar Company Limited and Deputy Chairman/Senior Independent Non-Executive Director of Pan Asia Banking Corporation PLC.

Former Appointments

He was Non-Executive Director of Multi Finance PLC and Director of Hayleys Fibre PLC.

Mr. Ravindra Yatawara

Appointed to the Board

On 15th March 2016

Role

Executive Director

Skills and Experience

Mr. Yatawara holds a BSc. Degree in Business Administration from Oklahoma State University, USA. He brings over 29 years of experience in the finance industry, having held both managerial and senior managerial positions within the LOLC Group, Hatton National Bank PLC and AMW Capital Leasing PLC.

Current Appointments

He is a Non-Executive Director of LB Microfinance Myanmar Company Limited.

Former Appointments

General Manager of LB Finance PLC, Chairman of The Finance Houses Association of Sri Lanka (FHA), Vice Chairman of the Leasing Association of Sri Lanka (LASL) and Non-Executive Director of Multi Finance PLC.

Ms. Yogadinusha Bhaskaran

Appointed to the Board

On 15th March 2016

Role

Non-Executive Director

Skills and Experience

Ms. Bhaskaran is a Fellow Member of the Chartered Institute of Management Accountants (UK) (FCMA), a Fellow Member of CPA Australia (FCPA), and a Fellow Member of the Institute of Bankers Sri Lanka (IBSL).

CORPORATE GOVERNANCE

Current Appointments

She holds directorships in six other companies viz: Managing Director of Vallibel One PLC, Chairperson / Director of Greener Water Ltd, Executive Director of Delmege Ltd, Non-Executive Director of Vallibel Power Erathna PLC, Non-Executive Director of Country Energy (Private) Limited and Non-Executive Director of Lanka Walltiles PLC.

Former Appointments

Ms. Bhaskaran has previously worked as Chief Financial Officer of Clenergy, Australia, Financial Controller in several Australian companies based in Melbourne, Assistant General Manager (Finance & Planning) at Pan Asia Banking Corporation PLC, Alternate Director to Mr. K D D Perera on the Boards of Haycarb PLC, Hayleys Fabric PLC, and Dipped Products PLC, and Non-Executive Director of Multi Finance PLC

Ms. Ashwini Natesan

Appointed to the Board:

On 1st September 2018

Role:

Independent Non-Executive Director

Skills and Experience:

She is a qualified legal practitioner specialising in Technology, Media and Telecommunications (TMT) Law. She provides consultancy on various TMT law matters, including financial technology (FinTech). She also engages in research projects related to data protection, privacy, the right to information and alternative dispute resolution mechanisms, both independently and collaboratively with other organisations. Additionally, she is a Research Fellow at LIRNEasia, a think tank based in Sri Lanka.

She regularly participates in national and international forums, speaking on broader issues in TMT law. In India, she previously worked with litigation and corporate law offices, including that of Senior Counsel Mr. P. Wilson, former Additional Solicitor General of India and former Additional Advocate General of Tamil Nadu.

She holds an LL.M. (Master of Laws) in International Business Law from the Faculty of Law, National University of Singapore, graduating among the top students in her batch. She earned her Bachelor of Arts and Law degree (B.A. LL.B. (Hons.), Distinction) from the School of Excellence in Law at Tamil Nadu Dr. Ambedkar Law University, Chennai, India. Additionally, she has diplomas in International Business Management (Loyola Institute of Business Administration, India), Commercial Arbitration (ICLP, Sri Lanka) and AI Policy (Center for AI and Digital Policy).

Current Appointments:

None

Former Appointments:

Independent Non-Executive Director of Multi Finance PLC

Mr. Dharmadasa Rangalle

Appointed to the Board

On 10th April 2019

Role

Non-Executive Director

Skills and Experience

Mr. Rangalle is a retired Senior Commissioner of the Department of Inland Revenue (Special Grade) with over 34 years of experience in the Government (Public) Sector. His career includes 31 years of experience in tax administration, having held various positions such as Assessor, Deputy Commissioner, Commissioner and Senior Commissioner.

He holds a Master of Commerce (M. Com) degree from the University of Kelaniya and a Bachelor of Commerce (B. Com) Special Degree, Second Class Upper Division (Honours), from the University of Kelaniya. He has completed all coursework required for a Doctoral Degree programme at the Open University of Malaysia. Mr. Rangalle is also a Fellow Member of the Sri Lanka Institute of Taxation.

He has served as a visiting lecturer at the University of Kelaniya, Sri Lanka Institute of

Information Technology (SLIIT), the Business School of the Institute of Chartered Accountants of Sri Lanka and the Sri Lanka Institute of Taxation.

Current Appointments

He holds directorships in five other companies viz: Non-Executive Director of Hayleys Aventura (Pvt) Ltd and Hayleys Advantis Limited, which are subsidiaries of Hayleys PLC, Non-Executive Director of DHS Holdings (Pvt) Ltd, Non-Executive Director of Flying Angel's Flight Academy (Pvt) Ltd. He is also a member of the Executive Council of the Sri Lanka Institute of Taxation.

Former Appointments

Non-Executive Director of Multi Finance PLC and Member of the Chartered Institute of Taxation.

Ms. Yanika Amarasekera

Appointed to the Board:

On 1st July 2021

Role:

Independent Non-Executive Director

Skills and Experience:

Ms. Yanika Amarasekera holds an MSc in Entrepreneurship, Innovation and Management from Imperial College Business School, London and dual Bachelor of Arts degrees in Political Economy and Mass Communication (with a focus on Digital Marketing) from the University of California, Berkeley. She is the founder of Silver Aisle - Sri Lanka's first online wedding registry and luxury gifting platform for all occasions, launched in 2019. Recognised as one of Sri Lanka's emerging entrepreneurs, she was named in the Forbes 30 Under 30 Asia 2025 list.

Current Appointments:

Chief Executive Officer of Silver Aisle (Pvt) Ltd.

Former Appointments:

Director of Greener Water Ltd and Non-Executive Director of Multi Finance PLC

Mr. Piyal Hennayake

Appointed to the Board

On 18th November 2024

Role

Independent Non-Executive Director

Skills and Experience

Accomplished professional with over 40 years of experience spanning engineering, portfolio management, credit, project finance, branch network management, administration, real estate and consultancy. Held 26 years of senior level roles, including 20 years as a C-suite/KMP at Hatton National Bank PLC and Seylan Bank PLC, driving organisational growth, operational excellence, and strategic decision-making. Skilful at leading cross-functional teams, optimising portfolios, and steering complex ventures in both financial services and engineering.

Current Appointments

He serves as the National Finance Expert at the United Nations Industrial Development Organisation (UNIDO) - Accelerating Industrial Climate Response Project.

Mr. Hennayake is also a Commissioner of the Public Utilities Commission of Sri Lanka and currently serves as its Deputy Chairman.

Former Appointments

He has held multiple roles including CEO/ Director, Sithma Developments Ltd (real estate subsidiary of Hatton National Bank PLC), Deputy General Manager – Services at Hatton National Bank PLC, Deputy General Manager – Project Finance at Seylan Bank PLC and Portfolio Manager at Lanka Ventures PLC. He worked as a Civil Engineer at the Central Engineering Consultancy Bureau and was an Independent Non-Executive Director of Seylan Developments PLC.

He served as the Country coordinator – Sri Lanka at the Private Financing Advisory Network (PFAN), hosted by UNIDO and the Renewable Energy Efficiency Partnership (REEEP).

Mr. Priyantha Talwatte

Appointed to the Board

On 18th November 2024

Role

Independent Non-Executive Director (As at 31 March 2025)

Skills and Experience

Priyantha Talwatte is an experienced professional leader with over 32 years of senior management experience across banking and telecommunications. He notably served as the Chief Executive Officer and Director of Nations Trust Bank PLC, where he spearheaded major strategic transformations, including securing the American Express franchise, driving digital innovation and implementing customer-centric practices. He also played a pivotal role as the interim CEO of Sanasa Development Bank PLC. Mr. Talwatte has held numerous directorships in prominent organisations. He holds an Advanced Management Programme from Harvard Business School, an MBA and a Diploma in Marketing.

Current Appointments

Mr. Talwatte assumed the role of Managing Director at Lanka Tiles PLC, Lanka Walltiles PLC, Lanka Ceramics PLC and C P Holdings (Pvt) Limited with effect from 1st April 2025. He was also appointed as a Director of Vallibel Plantation Management Ltd, L W L Plantation Investments Ltd, L C Plantation Projects Ltd, L C Development (Pvt) Ltd, Uni-Dil Packaging Ltd, Uni-Dil Packaging Solutions Ltd, L W L Development (Pvt) Ltd, L T L Development Ltd, Beyon Paradise Collection Ltd, Lanka Tiles USA Inc and Valley View Ceramics LLC.

Former Appointments

Previously, Mr. Talwatte served as the Chief Executive Officer of Sanasa Development Bank PLC, and the Director/Chief Executive Officer of Nations Trust Bank PLC, Director Waddock Mackenzie Ltd, Allied Properties Ltd, Nations Insurance Brokers Limited and Lanka Clear (Pvt) Limited. His career also includes serving as the Country Manager for Tritel Telecommunications Inc. in Manila, Philippines, and as the General Manager of Tritel Sri Lanka (Pvt) Ltd.

CORPORATE GOVERNANCE

SENIOR MANAGEMENT



Mr. Ravindra Tissera
Chief Transformation Officer



Mr. Marlon Perera
Senior Deputy General Manager – Deposits



Mr. Ainsley Motha
Senior Deputy General Manager
– Credit and Branch Operations



Mr. Chethana Kahandugoda
Chief Information Officer



Mr. Malith Hewage
Chief Financial Officer



Mr. Roshan Jayawardena
Senior Assistant General Manager



Mr. Kalpa Sanjeewa
Senior Assistant General Manager
– Credit and Branch Operations



Mr. Prasanna Kalinga
Assistant General Manager – Human Resources



Mr. Wickrama Punchihewa
Assistant General Manager – Legal



Mr. Suneth Dabarera
Chief Internal Auditor



Mr. Suraj Karunanayaka
Assistant General Manager – Gold Loan



Ms. Deshika Yatawara
Assistant General Manager – Treasury



Ms. Thisari Gunasekera

Assistant General Manager – Risk Management



Mr. Kenneth Daniel

Assistant General Manager
– Credit and Branch Operations



Mr. Gihan De Silva

Assistant General Manager – Recoveries



Mr. Safras Asmath

Chief Digital Officer



Mr. Gayan Aywardane

Chief Manager – Central Region



Mr. Shanaka Perera

Chief Manager – Administration



Mr. Sudeep Perera

Chief Manager – Marketing



Mr. Prasad Surendra

Chief Manager – Credit & Branch Operations



Mr. Surain Silva

Chief Information Security Officer



Mr. Shane Ahamat

Chief Manager – Deposits



Mr. Hirantha Jayasinghe

Chief Manager – Credit & Branch Operations



Mr. Varuna Perera

Senior Manager – Compliance

CORPORATE GOVERNANCE



Mr. Sameera Wanninayake

Senior Manager
– Business Process Development



Mr. Waruna Perera

Country Manager – Myanmar



Mr. Maheshan Karunarathne

Senior Manager – Credit & Branch Operations



Mr. Chanaka Alexander

Senior Manager – Credit & Branch Operations



Mr. Chaminda Perera

Senior Manager – Finance Operations



Mr. Stephan Fonseka

Senior Manager – Insurance



Mr. Hemal Ekanayake

Senior Manager – ERP & Business Analysis



Mr. Thusitha Wickrama

Senior Manager – Corporate Strategy,
Sustainability and Market Dynamics



Mr. Jagath Hettiarachchi

Senior Manager – Credit & Branch Operations
(Southern Region)



Mr. Chanaka Pemruwan

Senior Manager – Credit & Branch Operations
(North Central Region)



Mr. Pamudra Jayatissa

Senior Manager – Credit & Branch Operations



Mr. Panduka Wijekoon

Senior Manager
– Security Surveillances & Transport



Mr. Sampath Kumara
Senior Manager - Solution Architect



Mr. Pathmasiri Rajapaksha
Senior Manager - Recoveries



Mr. Nayan Priyanka
Senior Manager - Deposits



Mr. Thushara Manoj
Senior Manager - Network Infrastructure,
Security and Operations

CORPORATE GOVERNANCE

GRI: 2-11

5.3 Roles, Responsibilities & Board Balance

CASL Code Principle (A.5) It is preferable for the Board to have a balance of Executive and Non-Executive Directors such that no individual or small group of individuals can dominate the Board's decision-taking.

**a. Board Balance (A.5/A.5.1)**

The Board consists of 12 Directors, with 8 serving as Non-Executive Directors. Of these, 5 Non-Executive Directors are independent, as defined by both regulatory and voluntary independence criteria. The profiles of the Directors and

their current appointments can be found on pages 256 to 259. The Articles specify that the Board must have between 3 and 12 Directors. Together, the Board brings a diverse range of skills and experience, enabling effective guidance and oversight

of LBF's operations. Furthermore, the Board's diversity in gender, age, and tenure reflects the work of the BNGC in ensuring a wide range of perspectives in its discussions.

b. Role and Responsibilities of the Board (A.1.2/A.1.6)

- Formulate and implement a clear, robust business strategy aligned with the company's long-term vision, market positioning, and growth ambitions.
- Appoint the Chair, Senior Independent Director (if applicable), and ensure the CEO and management team possess the necessary skills, experience, and leadership capabilities.
- Approve annual budgets, major capital expenditures, and investment proposals, ensuring alignment with strategic priorities and the company's financial capacity.
- Clearly define matters reserved for the Board and those delegated to management, including authority limits and accountability frameworks.
- Ensure the establishment of effective systems to safeguard information integrity, maintain strong internal controls, manage key risks (including cybersecurity), and ensure business continuity across operations.
- Oversee the development and implementation of an ICT roadmap that supports the company's strategic goals.
- Ensure the company complies with all relevant laws, regulations, and ethical standards.
- Integrate ESG risks and opportunities into the company's strategy and operations, recognising the importance of sustainable business practices and considering the adoption of integrated reporting frameworks.

In discharging their duties, the Board also reserves the exclusive right to review and approve the following ;

- Evaluating and approving of the Strategic Plan
- Evaluating and approving of the LBF's Annual Budget
- Appointment of the MD/CEO of LBF, its Key Responsible Personnel and the CEOs of all its Subsidiaries
- Approval of the succession plan for the Senior Management including MD/CEO
- Determine and approve the organisation structure
- Evaluating and approval of any type of strategic decisions
- Appointment of Board Sub Committees and defining their scope of work and the extent of delegated powers and authority for them

CASL Code Principle (A.2) There are two key tasks at the top of every public company – conducting of the business of the board and facilitating executive responsibility for management of the company's business. There should be a clear division of responsibilities at the head of the company, which will ensure a balance of power and authority, such that no one individual has unfettered powers of decision.



CASL Code Principle (A.3) The chairman's role in preserving good corporate governance is crucial. As the person responsible for running the board, the chairman should preserve order and facilitate the effective discharge of board functions.



C. Differentiating the Role of the Chairman and the Managing Director (A.2/A.3)

There are two key tasks at the top of every public Company conducting of the business of the Board and facilitating executive responsibility for management of the company's business.

The Chairman's role in preserving good Corporate Governance is crucial. As the person responsible for running the Board, the Chairman should preserve order and facilitate the effective discharge of Board functions.

The role of LBF's Chairman is distinct and separate from that of the Managing Director/Chief Executive Officer, with a clear division of responsibilities between the two. Mr. G.A.R.D. Prasanna, LBF's Chairman, leads the Board, while Mr. Sumith Adhietty, Managing Director, oversees LBF's day-to-day business operations as per the authority delegated to him by the Board.

To establish a greater element of independence, the Board has appointed Mr. Ashane Jayasekara as the Senior Independent Director, with clear terms of reference to discharge his duties in compliance with Corporate Governance Direction No. 5 of 2021.

d. Role and Responsibilities of the Chairman (A.2/A 5.9/A.3)

- Ensure the Board meets regularly to discuss relevant matters
- Maintain the appropriate balance of power between ED's and NED's
- Secure the effective participation of both ED's and NED's in all Board matters

- Implement decisions/directions of the regulator
- Prepare the agenda for each Board Meeting or delegate such function and to maintain minutes in an orderly manner to the Company Secretary
- Ensure appropriate steps are taken to maintain effective communication

- with shareholders and that the views of shareholders are communicated to the Board
- Oversee the annual assessment on the performance and the contribution during the past 12 months of the Board and the MD/CEO

e. Role and responsibilities of the Managing Director (A.2)

- Implement Business and risk strategies in order to achieve the LBF's strategic objectives
- Establish an appropriate management structure that promotes accountability and transparency
- Throughout LBF's operations and preserves the effectiveness and independence of control functions

- Promote, together with the Board, a sound `corporate culture within LBF which reinforces ethical, prudent and professional behaviour
- Ensure implementation of proper compliance culture and being accountable for accurate submission of information to the regulator
- Strengthen the regulatory and supervisory compliance framework

- Address the supervisory concerns and non-compliance with regulatory requirements or internal policies in a timely and appropriate manner
- Devote the whole of the professional time to the service of LBF and shall not carry on any other business, except as a Non-Executive Director of another Company

CORPORATE GOVERNANCE**f. Role and responsibilities of Senior Director (A.5.7/A.5.8)**

- Represent as an intermediary for other directors and shareholders
- Bring an objective and unbiased perspective to the Board
- Participate in Board meetings, provide expertise, and contribute to strategic decision-making
- Contribute to performance evaluation of MD/CEO's performance evaluation and succession planning
- Conduct semi-annual meetings with only Independent Directors to find out if there are any concerns

g. Role and Responsibilities of Company Secretary (A.1.4)

- Prepare the agenda for Board meetings in concurrence with the Chairperson
- Record Board minutes in sufficient detail to demonstrate that the Board acted with due care and prudence
- Maintain minutes of Board meetings, along with all submissions, in an orderly manner and in compliance with the Articles of Association of LBF
- Ensure that the Annual General Meeting is held in compliance with the Companies Act and the company's Articles of Association
- Act as a key liaison between the Board and shareholders, ensuring effective communication and transparency
- Ensure that shareholders are provided with accurate, timely, and relevant information regarding the company's financial performance, governance, and any material developments

h. Role and responsibilities of Board Sub Committees

- In accordance with the relevant rules and regulations and Corporate Governance best practices, the LBF Board has established 07 Board Sub Committees which include 2 voluntary Sub Committees. Each Committee is chaired by an Independent Non-Executive Director, and has its own terms of reference

The following table depicts the composition as at 31 March 2025 and the area of oversight of each Sub Committee.

Composition	Area of Oversight	Link to Strategy	Link to Capital
Board Nominations and Governance Committee (BNGC) (A.7) – page 297			
Mr. Ashane Jayasekara - Chairperson Mr. G A R D Prasanna Ms. Ashwini Natesan	- Review the Board structure, size, composition and competencies - Appointment of Board of Directors - Overseeing the Board and the Senior Management succession planning - Oversight the overall Governance Framework of the Company	S 5 S 6	HC SRC
Board Audit Committee (BAC) (D.3) – page 289			
Mr. Ashane Jayasekara Chairperson Ms. Yogadinusha Bhaskaran Ms. Ashwini Natesan	- Reviewing the accuracy and integrity of the financial reporting - Internal and external assurance - Reviewing the design and effectiveness of internal control system and risk management	S 1 S 6 S 1 S 6	FC MC IC
Board Human Resource and Remuneration Committee (BHRRC) (B.2) – page 298			
Ms. Yanika Amarasekera Chairperson Mr. G A R D Prasanna Mr. Ashane Jayasekara	- Oversight the Remuneration policy - Remuneration and compensations of Directors, Senior Management and staff salaries in general - Structure for staff performance evaluation	S 1 S 5	FC HC
Board Integrated Risk Management Committee (BIRMC) (D.4) – page 294			
Ms. Ashwini Natesan Chairperson Ms. Yogadinusha Bhaskaran Mr. Ashane Jayasekara	- Oversight the Risk Management Framework - Carry out Risk measurement, monitoring and management - Compliance with regulatory and internal prudential requirements - Reviewing the business continuity planning	S 1 S 2 S 4 S 5 S 6	FC MC IC HC SRC NC
Board Related Party Transactions Review Committee (BRPTRC) (D.5) – page 299			
Mr. Piyal Hennayake Chairperson Mr. Dharmadasa Rangalle Mr. Priyantha Talwatte	- Oversight the Related party transaction policy - Providing independent review, approval and oversight of RPT - Ensuring relevant market disclosures	S 1 S 2	FC HC SRC
Board Information Security Committee (BISC) (G.1 - G.5) – page 301			
Ms. Ashwini Natesan Chairperson Mr. Ashane Jayasekara Mr. B D A Perera	- Strengthen the information security and technology risk resilience process - Continuous evaluation and improvement of information/ data security policies, controls and practices	S 1 S 2 S 5 S 6	FC MC IC HC SRC
Board Sustainability Committee (BSC) (H.1 - H.5) – page 303			
Ms. Yanika Amarasekera Chairperson Mr. G A R D Prasanna Ms. Ashwini Natesan Mr. Niroshan Udage Mr. Piyal Hennayake	- Oversight of processes in place to identify and manage sustainability related risks and opportunities - Review the measures taken to ensure the long-term sustainability of the Company in its ESG dimensions - Review the Company's plans and actions with regard to ESG/ Sustainability topics	S 1 S 2 S 3 S 4 S 5 S 6	FC MC IC HC SRC NC

CORPORATE GOVERNANCE

The Board and Board Sub Committees are supported by Executive Management Committees which are listed below:

Executive Management Committee	Tasks	Members	Frequency of Meetings
IT Security and Steering Committee (ITSSC)	To ensure that IT strategy is aligned with the strategic goals of the Company whilst its top most mandate is to find and align business solutions that may leverage technology. ITSSC also looks into information security-related matters on a regular basis	• Managing Director • Deputy Managing Director • Executive Director - Asset Management • Chief Financial Officer • Chief Information Officer • Chief Information Security Officer • Representatives from relevant departments	Every other month
Asset and Liability Committee (ALCO)	To monitor and manage the assets and liabilities of the Company and also overall liquidity position to keep the Company's liquidity at healthy levels, whilst satisfying regulatory requirements	• Managing Director • Deputy Managing Director • Executive Directors • AGM - Treasury • Senior DGM - Deposits • Chief Financial Officer • Assistant General Manager – Risk Management	Monthly
Credit Committee (CC)	The Committee shall be responsible for laying out the overall credit policy for the Company. This includes setting lending guidelines in conformity with credit risk appetite set by the Board of Directors	• Managing Director • Deputy Managing Director • Executive Directors • Deputy General Manager - Credit • Chief Financial Officer • Assistant General Manager – Risk Management • Senior Manager - BPD	Quarterly
Sustainability Committee (SC)	The formulation and the review of the Company's Sustainability policy, and ensuring such activities are integrated into the Company's operations. Keeping in line with the Company's ESG focus, the Committee is tasked with the responsibility of steering the Company's policy on sustainability which aimed at uplifting the communities we work with and preserving the environment	• Deputy Managing Director • Chief Financial Officer • AGM - Treasury • Senior Manager - Digital Strategy and Sustainability • Representatives from relevant departments	Quarterly
Business Continuity Management Steering Committee (BCMSC)	Committee is responsible for aligning BCM goals with business goals and provides strategic direction and support in establishing, implementing, operating, monitoring, reviewing and improving the business continuity	• Deputy Managing Director • Senior Manager - BPD • Representatives from the relevant departments	Quarterly
Operational Risk Management Committee (ORMC)	Identify, Assess, Manage and report risk relating to operations of the Company	• Deputy Managing Director • Executive Directors • Chief Risk Officer • Chief Financial Officer • Chief Internal Auditor • Compliance Officer	Quarterly

5.4 Board meetings (A 1.1)

The Board meets monthly while committees of the Board having varying frequencies as set out below in the Attendance matrix. Minutes are circulated within 14 days of the meeting and are ratified and signed by the Chairman at the next meeting. The Company Secretary is responsible for preparation and maintaining the minutes of the board and sub committees except BAC and BIRMC (Chief Internal Auditor and AGM - Risk Management are responsible in preparation and maintaining the minutes of BAC and BIRMC respectively) . Directors have access to minutes of the past months on their devices through a secure link and may request the Company Secretary for extracts of older minutes if required.

Attendance Matrix of the Board and Board Sub-committees

Name of the Director	Designation/ Membership status	Tenure on the Board (years)	Gender	Age	Meeting attendance			Board sub-committee membership and attendance						
					Attended/ eligible to attend	Participation		Mandatory					Voluntary	
						In person	Virtual	BAC	BIRMC	BNGC	BHRRC	BRPTRC	BISC	BSC
Mr. G A R D Prasanna	Chairman / Non-Independent Non-Executive Director	3	Male	54	12/12	12	-	-	-	7/7	5/5	-	-	4/4
Mr. Ashane Jayasekara	Independent Non-Executive Director (Senior Director)	7	Male	46	12/12	12	-	12/12	6/6	7/7	5/5	4/4	4/4	-
Mr. Sumith Adhihetty	Managing Director	21	Male	74	12/12	12	-	12	6	-	-	-	-	-
Mr. Nirosan Udage	Deputy Managing Director	18	Male	54	11/12	11	-	12	6	-	5	-	4	4/4
Mr. B D A Perera	Executive Director	18	Male	57	12/12	12	-	12	6	-	5	5	4/4	-
Mr. Ravindra Yatawara	Executive Director	9	Male	54	11/12	11	-	-	6	-	5	-	-	-
Ms. Yogadinusha Bhaskaran	Non-Executive Director	9	Female	50	12/12	12	-	12/12	5/6	-	-	-	-	-
Ms. Ashwini Natesan	Independent Non-Executive Director	6	Female	37	11/12	11	-	12/12	6/6	7/7	-	4/4	4/4	4/4
Mr. Dharmadasa Rangalle	Non-Executive Director	5	Male	66	12/12	12	-	-	-	-	-	5/5	-	-
Ms. Yanika Amarasekera	Independent Non-Executive Director	3	Female	30	11/12	11	-	-	-	-	5/5	-	-	4/4
Mr. Piyal Hennayake	Independent Non-Executive Director	-	Male	58	5/5	5	-	-	-	-	-	1/1	-	2/2
Mr. Priyantha Talwatte	Independent Non-Executive Director	-	Male	64	4/5	4	-	-	-	-	-	1/1	-	-

○ Attended by invitation

CORPORATE GOVERNANCE

Before each meeting

- Meeting calendar is prepared by the Company Secretary annually in advance and communicated to all Board members
- The Company Secretary consult with the Chairman and the Managing Director to set the agenda
- Routine matters on the agenda include: discussions on strategy, the Company's performance, Industry Performance, Financial Results, Treasury updates, status of Human Resources, Risk Management and Compliance, progress on Company's digital initiatives, status on Cyber Security and Data Privacy etc.
- A Board approved procedure is in place to include additional matters and proposals to the agenda by Directors
- The agenda and the information pack containing relevant Board Papers are uploaded to a secure portal at least seven (07) working days prior to the meeting date to give Directors remote access
- Selected members of the Senior Management / Board Committees may also be invited to be present at Board Meetings where necessary
- All Directors are allowed to reach the Company's Senior Management to obtain necessary information or clarifications. They also have the right to seek independent professional advice

At the Board meeting

- The Chairman plays a key role in promoting open and active debate among Directors
- The Chairpersons of each Board committee will be called upon to provide an update on significant matters discussed at their respective Board sub-committee meetings
- The Managing Director provides a comprehensive update on the Company's business and operations and overview of the context in which these outcomes were achieved
- The Chief Financial Officer provides the Board with detailed monthly financial performance reports
- Other Business heads are invited to provide updates on business aspects under their purview
- Directors' interests and related party transactions are tabled at Board Meetings
- In a situation where a conflict of interest arises, the relevant Director shall recuse from the discussions and refrain voting on such matter
- Directors who are unable to attend a Board meeting in person are allowed to participate through virtual means
- The Company secretary maintains the minutes with adequate information

After the Board meeting

- Minutes are first presented to the Chairman for approval prior to being circulated among the Directors
- Minutes of the meetings are circulated within two weeks after the meeting date
- Strong emphasis is placed on encouraging continuous and ongoing engagement of Directors in the matters of the Company
- Directors have access to senior management and may request any additional information to make informed and timely decisions
- The Managing Director keeps the Board updated on LBF's performance and prospects vis-a-vis the prevailing economic and regulatory climate
- Special Board meetings are also convened on occasion as and when the need arises

5.5 Nomination, Selection, Re-election and Succession

a. Appointments and Re-elections

CASL Code Principle (A.7) Board should establish a formal and transparent procedure for the appointment of new Directors to the Board.



CASL Code Principle (A.8) All directors should be required to submit themselves for re-election at regular intervals and at least once in every three years.



The Board Nominations and Governance Committee plays a crucial role in identifying and recommending candidates for appointment as Directors. The Committee evaluates the skills, expertise, and attributes necessary to support the Company's business needs and actively searches for individuals who meet these requirements. All potential candidates undergo a vetting and screening process against fit and proper standards, and for Independent Directors, additional criteria to assess independence are applied. Candidates who satisfy the relevant criteria are then recommended to the Board for approval.

Non-Executive Directors are appointed by shareholders and are subject to retirement and re-election at the Annual General Meeting (AGM), following a brief review of each director's participation, contribution, and engagement in discharging their duties. Executive Directors, meanwhile, are appointed by the Board and typically serve for the duration of their employment contracts. Executive Directors who reach the age of 70 must be re-appointed

annually at the AGM, with approval from CBSL.

Non-Executive Directors who either directly or indirectly hold more than 10% of the Company's shares, or who are appointed to represent such shareholders, may serve beyond nine years, subject to approval by the Director, Department of Supervision of Non-Bank Financial Institutions, CBSL. However, the number of Directors serving more than nine years must not exceed one-fourth of the Board.

The Board is also authorised to fill any casual vacancies arising during the year. In such cases, the Board Nominations & Governance Committee will recommend a candidate subject to fit and proper assessment, whose appointment must be vetted and approved by the Board. Directors appointed during the year must retire at the next AGM and may offer themselves for re-election by shareholders at that meeting.

All Director appointments are subject to approval by the Director, Department of Supervision of Non-Bank Financial Institutions, CBSL. Furthermore, every new appointment must be notified to the CSE along with a brief profile of the Director, clearly indicating the capacity in which they are appointed.

b. Retirement and Resignations (A.8.3)

Each year, one-third of the Directors eligible for re-election must retire, with the longest-serving Directors retiring first. These Directors may offer themselves re-election by shareholders at the Annual General Meeting, with a separate resolution presented for each Director's re-election. Non-Executive Directors generally retire

after serving nine years, except for those who directly or indirectly hold more than 10% of the Company's shares or represent such shareholders.

Refer Report of the Board of Directors on the Affairs of the Company on page 282.

Directors may also resign at any time by submitting a written notice to the Chairman, stating the reasons for their resignation. The resignation becomes effective upon formal acceptance and approval by the Director, Department of Supervision of Non-Bank Financial Institutions. The Colombo Stock Exchange (CSE) is immediately notified of any resignation or retirement, along with disclosure of the Director's shareholding in the Company, if applicable.

c. Succession (A.7.3)

The Company has in place a Board-approved succession plan designed to ensure leadership continuity and minimise disruption to governance and operations. This plan identifies potential successors for each member of the Board as well as key responsible persons within the organisation.

The succession plan considers factors such as experience, skills, leadership qualities, and alignment with the Company's strategic objectives. It is reviewed periodically to remain aligned with the evolving needs of the business and regulatory requirements. By proactively planning for leadership transitions, the Company ensures stability, preserves institutional knowledge, and maintains the confidence of stakeholders, regulators, and shareholders.

CORPORATE GOVERNANCE

GRI: 2-17

5.6 Skills, Knowledge and Competency of the Board**a. Competence Matrix**

CASL Code Principle (A.4) The board should ensure the availability within it, of those with sufficient financial acumen and knowledge to offer guidance on matters of finance.

**Competence Matrix****Competences**Mr. G A R D
PrasannaMr. Ashane
JayasekaraMr. Sumith
AdihettyMr. Niroshan
UdageMr. B D A
PereraMr. Ravindra
Yatawara

Business leadership, transformation, innovation and business development	☒	☒	☒	☒	☒	☒
Strategy and Sustainability	☒	☒	☒	☒	☒	☒
Banking and Finance		☒	☒	☒	☒	☒
Audit and Assurance		☒				
Risk management		☒			☒	
People management and development			☒	☒	☒	☒
Information, technology and digital		☒			☒	
Legal and compliance		☒				
Environmental, Social and Governance (ESG)	☒					
Business Management	☒	☒	☒	☒	☒	☒
Leisure and hospitality			☒			
Stakeholder engagement and management	☒	☒	☒	☒	☒	

CompetencesMs. Yogadinusha
BhaskaranMr. Ashwini
NatesanMr. Dharmadasa
RangalleMs. Yanika
AmarasekeraMr. Piyal
HennayakeMr. Priyantha
Talwatte

Business leadership, transformation, innovation and business development	☒	☒	☒	☒	☒	☒
Strategy and Sustainability	☒	☒	☒	☒	☒	☒
Banking and Finance	☒		☒		☒	☒
Audit and Assurance	☒		☒			
Risk management	☒	☒	☒		☒	☒
People management and development	☒		☒		☒	
Information, technology and digital	☒	☒	☒	☒		☒
Legal and compliance		☒	☒		☒	☒
Environmental, Social and Governance (ESG)	☒		☒		☒	
Business Management	☒		☒			
Leisure and hospitality	☒		☒			
Stakeholder engagement and management	☒		☒		☒	

b. Training and Induction (A.1.8)

All new Directors have a formal induction programme determined by the Chairman, CEO, and Company Secretary. New Directors receive an orientation pack with relevant external and internal documentation to ensure they have the requisite knowledge of the Company and its operations. They are also given the opportunity to meet with Senior Management.

Directors benefit from regular training programmes throughout their tenure to support ongoing knowledge enhancement and keep them informed of economic, regulatory, and industry trends. Each Director receives adequate training hours annually.

During the year, the following training sessions were conducted for the Board of Directors:

- AML/CFT regulations
- SLFRS S1 & S2
- Information and cybersecurity risk awareness
- Laws and regulations surrounding personal data protection
- Anti-Bribery and corruption
- Corporate Governance best practices

5.7 Delegation and Oversight

a. Overseeing Material Impacts

The Board of Directors is ultimately responsible for overseeing the identification, assessment, and management of the Company's significant economic, environmental, social, and governance impacts. The Board ensures that these impacts are addressed through appropriate strategies, risk management practices, and stakeholder engagement frameworks.

This oversight responsibility is executed through Board sub-committees. These committees ensure that material issues are considered in decision-making, and that the Company remains accountable, transparent, and aligned with long-term stakeholder interests.

The Board also approves key policies and frameworks, reviews performance against sustainability and impact related objectives, and ensures compliance with relevant regulatory and voluntary standards, reinforcing Company's commitment to responsible and ethical business practices.

b. Delegation of Responsibility

The responsibility for effectively managing business objectives of the Company is delegated across multiple organisational levels to ensure effective oversight and execution. While the Board of Directors retains ultimate accountability, specific roles are assigned to Board sub-committees and senior management. Functional heads are responsible for implementing Board approved strategies, policies, risk management and regulatory compliance within their areas. Cross functional teams support implementation and monitoring, escalating to senior management and the Board, enabling informed decision-making.

The Board approved Delegation of Authority Policy underpins this structure, promoting accountability, coordination, and a strong culture of sustainability across the organisation.

c. Communication of Critical Concerns

The company maintains a transparent and structured process for the communication and escalation of critical concerns across all levels of the organisation. Critical matters including significant financial, operational, compliance, reputational, or ethical risks are identified through various internal mechanisms such as audit findings, risk assessments, employee feedback, stakeholder engagements, and whistle-blowing reports.

Such concerns are promptly escalated to senior management and, where necessary, to the relevant Board sub-committees. These sub-committees are responsible for reviewing the issues, initiating investigations where appropriate, and recommending corrective actions to the full Board.

5.8 Managing Conflicts

a. Conflicts of Interest

A formal policy on managing Conflict of Interest is in place that provides clear guidelines to help the Board of Directors, Senior Management, and all employees understand the necessary actions to prevent conflicts of interest. Directors are expected to demonstrate the highest standards of good faith, honesty, and integrity in all interactions involving the Company. They must prioritise the Company's best interests by promptly disclosing any actual or potential conflicts of interest to the Board.

All Directors are required to declare any potential conflicts of interest in their annual disclosures and ahead of any meeting where such a conflict might occur. In such situations, Directors recuse themselves from discussions and avoid influencing decisions where a conflict of interest exists or could be perceived to exist. The Company Secretary keeps a Register of Interests, which is updated whenever new declarations are made.

b. Related Party Transactions

CASL Code Principle (D.5) The Board should establish a procedure to ensure that the Company does not engage in transactions with "related parties" in a manner that would grant such parties "more favourable treatment" than that accorded to third parties in the normal course of business.



CORPORATE GOVERNANCE

GRI: 2-18

The Board has established a Related Party Transactions Policy that sets out the procedures for providing accommodations to Directors, their close family members, Key Responsible Persons, their close family members, related entities and entities where Directors serve as Board members. All such transactions are carried out in accordance with CBSL rules and regulations, and under the same terms and conditions applicable to the Company's other customers.

All the related party transactions are prior reviewed by the BRPTRC through circulation. Such transactions are tabled at the next BRPTRC for ratification. Further, any transactions requiring disclosure under the Listing Rules are reported accordingly. These disclosures are detailed in Note 3.1 of the financial statements on page 445.

5.9 Evaluating Performance

CASL Code Principle (A.9) Boards should periodically appraise their own performance in order to ensure that board responsibilities are satisfactorily discharged.



a. Evaluating the Effectiveness of the Board (A.9.1/A.9.2)

The BNGC conducts an annual self-assessment to evaluate the overall effectiveness of the LBF Board based on established criteria. Directors' feedback is collected, reviewed by the BNGC, and shared with the Board Chairman for discussion in a closed-door meeting. The BNGC is responsible for developing and implementing action plans to address the issues and concerns identified.

b. Evaluating the Effectiveness of the Board Sub Committees (A.9.2)

The effectiveness of each sub-committee was self-evaluated by its members to ensure the effective discharging of its duties for the year and the results were presented to the Board.

The review focused on mandate clarity, skills adequacy, meeting efficiency, and strategic alignment. Findings confirmed that all sub-committees operate effectively and continue to provide robust oversight in their respective areas.

c. Evaluating the Effectiveness of the Chairman

The Chairman of the LBF Board is evaluated annually by the Company's Senior Director

and other NEDs to assess his effectiveness in fulfilling the duties and responsibilities of the Board chair.

The Managing Director's performance is assessed annually by the Chairman of the Board, based on the goals and objectives agreed upon at the start of each financial year. After the year end performance evaluation, the BHRRC recommends to the Board both the performance related pay for the completed year and any adjustments to compensation for the upcoming year.

d. Evaluating the Performance of Managing Director

CASL Code Principle (A.11) Boards should periodically appraise their own performance in order to ensure that Board responsibilities are satisfactorily discharged.



The MD's performance is assessed annually by the Chairman of the Board, based on the goals and objectives agreed upon at the start of each financial year. After the year end performance evaluation, the BHRRC recommends to the Board both the performance related pay for the completed year and any adjustments to compensation for the upcoming year.

Performance Evaluation of Managing Director

Establish expectations

The Board agrees goals and key expectations for the MD

The Board negotiates performance goals with the MD

Set expectations

Expectations for the MD performance are agreed by MD and Board



Guide

On going advice, particularly from the Chairman

PERFORMANCE



Assess

The Board undertakes a detailed review using:

- Financial goals
- Non-financial goals

The Board formally discusses the findings

Formal Appraisal

Performance assessment process formally reviewed at Board meeting

e. Evaluating the Performance of Directors

All Directors are required to submit an annual self-evaluation to the BNGC, providing their assessment of the Board's collective performance in areas such as strategy development and monitoring, risk management, internal control systems, and oversight of Board Sub-Committees. These self-evaluations are reviewed by the BNGC in collaboration with the Board Chairman, and the insights are used to facilitate constructive discussions on improving Board effectiveness and to determine whether each Director remains suitably qualified to continue serving on the LBF Board. Based on the evaluation results, the Chairman and/or the Chairperson of the BNGC may recommend the appointment of new Directors or request the resignation of existing ones, if deemed necessary.

5.10 Remuneration

a Remuneration Policy

The Company's Remuneration Policy is structured to align employee rewards with its strategic goals and long-term success. It provides a strong framework aimed at attracting, retaining, and motivating individuals who possess the skills, values, and expertise essential for the Company's sustainable growth.

LBF's Remuneration Policy is designed to establish a competitive and transparent framework that balances strategic business objectives with the principles of fairness, integrity, and prudent risk management, fully complying with the applicable Directions of the Central Bank of Sri Lanka. The policy aims to attract top talent by offering an

employee value proposition, retain skilled professionals through competitive rewards and benefits, and inspire behaviours aligned with LBF's core values and goals. It ensures that remuneration structures are aligned with long-term business success and sustainability, while recognising and competitively rewarding high-performing areas, fostering employee engagement, loyalty, and continuous growth across the organisation.

LBF's Remuneration Policy is closely linked to annual business performance and is aligned with its strategy, objectives, values, and long-term interests. It ensures transparency, minimises complexity, and avoids conflicts of interest by discouraging excessive risk-taking. Remuneration structures balance fixed and variable components, reflecting market competitiveness and considering factors such as experience, qualifications, and non-financial benefits. NEDs' pay maintains independence through non-discriminatory practices. The policy promotes meritocracy, includes broader performance metrics beyond sales, and regularly benchmarks compensation to attract and retain top talent in line with regulatory and best practice standards.

Remuneration adjustments such as salary increases, bonuses, and incentives are then awarded based on the evaluation outcomes. High performers are rewarded proportionately, while areas for improvement are identified to support development.

This method not only motivates employees but also fosters a culture of meritocracy, where rewards are directly connected to effort and results. However, it requires careful management to ensure evaluations remain

objective, fair, and free from favouritism, and to prevent excessive focus on short-term results at the expense of long-term sustainability.

c. Process to determine remuneration

CASL Code Principle (B.1) Companies should establish a formal and transparent procedure for developing policy on executive remuneration

CASL Code Principle (B.2) Level and makeup of remuneration of both executive and Non-Executive Directors



The remuneration policy is overseen by the BHRRC, comprised entirely of non-executive directors of whom majority are independent. It operates under the authority of the Board of Directors to avoid conflicts of interest.

Performance-based evaluation system ties an individual's remuneration directly to their contributions and achievements within the organisation. This approach aligns employee incentives with business objectives, encouraging high performance and accountability.

The process typically involves setting clear, measurable performance indicators (KPIs) at the start of each evaluation period. These indicators may include quantitative targets such as sales growth, project completion, or efficiency improvements, as well as qualitative assessments like leadership, collaboration, and innovation. Performance is assessed annually at the end of each financial year.

Fairness and Transparency

Evaluation criteria are communicated in advance, ensuring employees understand how their performance influences their pay

Alignment with Organisational Goals

Individual objectives are linked to broader company strategies, ensuring that personal achievements contribute to business success

Consistency and Objectivity

Standardised evaluation tools and processes are used to minimise bias and ensure consistency across teams and departments

CORPORATE GOVERNANCE

5.11 Stakeholder Engagement and communication

CASL Code Principle (C.1) Boards should use the AGM to communicate with shareholders and should encourage their participation. 

CASL Code Principle (C.2) Board should implement effective communication with shareholders 

The company engages with a diverse range of stakeholders through multiple formal and informal channels, as outlined on page 62 of this report. The Board places strong emphasis on understanding and responding to stakeholder concerns to support long-term value creation.

To gain insights into customer issues, the Board regularly reviews analytics from the call centre. Employee-related matters are assessed through structured surveys, with findings reviewed by both the Board and the BHRRC. Regulatory queries are formally presented at Board meetings, ensuring appropriate oversight and timely response.

The Board, together with the Company Secretary, oversees shareholder communications. In line with regulatory requirements, the Company publishes quarterly performance updates and its Annual Report through the CSE, providing shareholders with a transparent and comprehensive view of the Company's performance and strategic direction.

The AGM serves as the primary platform for direct shareholder engagement. Notice of the AGM is provided both in this report and via the CSE. To further facilitate two-way communication, a shareholder feedback form is included in the Annual Report. Additionally, the Board has approved a Policy on relations with shareholders and Corporate Communication Policy to further strengthen engagement with shareholders and other key stakeholders.

LB Finance's stakeholder engagement approach is grounded in the following principles:

Relevance

Focusing on material issues of concern to stakeholders and identifying optimal ways to address them for mutual benefit

Completeness

Gaining a comprehensive understanding of stakeholder views, needs, expectations, and perceptions, while considering broader local and global trends

Responsiveness

Actively engaging on material issues and providing regular, coherent, and transparent feedback

Through this structured approach, the Board reaffirms its commitment to inclusive, meaningful engagement, aiming to build collaborative, long-term relationships with all stakeholders.

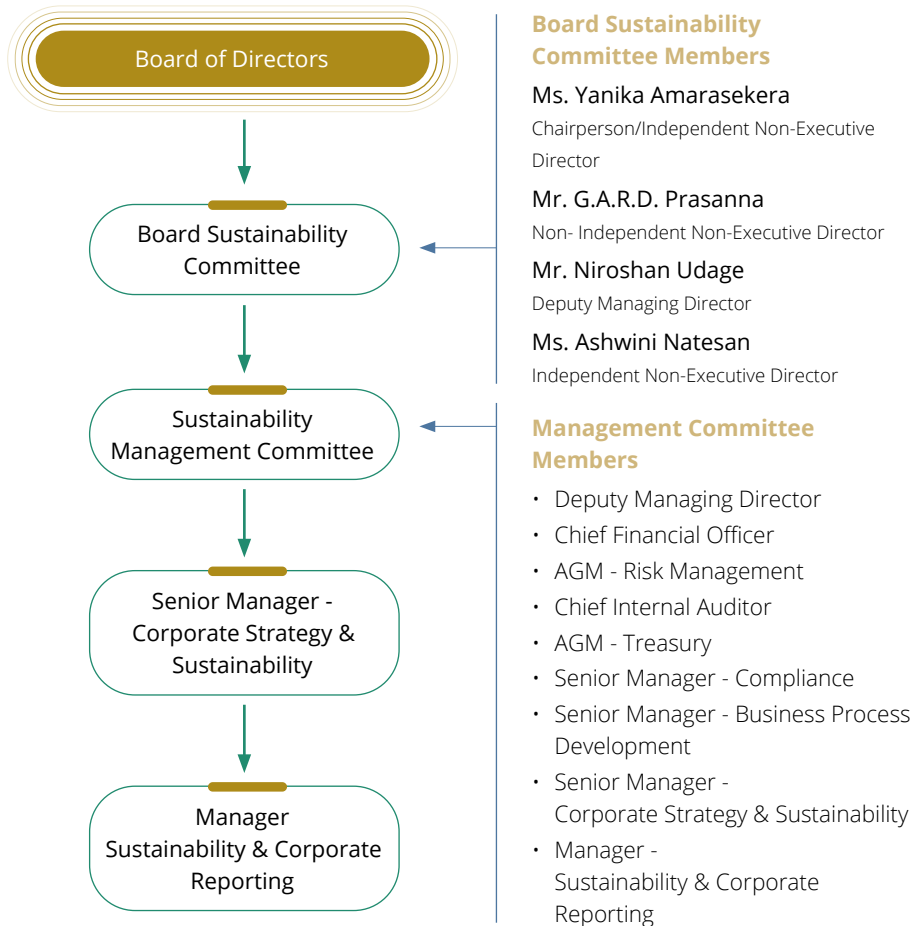
6. FRAMEWORK OF SUSTAINABILITY

6.1 Board and Management Structures

The Board's governance and oversight encompass sustainability-related risks and opportunities (SRROs) as well as climate-related risks and opportunities (CRROs). At LBF, the Board Sustainability Committee (BSC) is responsible for overseeing the identification, management, and integration of SRROs and CRROs across the organisation. This ensures that these crucial factors are embedded into strategic decision-making processes. Annually, based on the recommendation of the BIRMC, the Board reviews and approves the Risk Management Framework, which is designed to effectively assess and manage key risks in alignment with the Company's defined risk appetite and strategic objectives.

The structured ESG governance framework ensures clear accountability for managing environmental, social, and governance matters, including CRROs and SRROs, across all levels of the organisation.

ESG GOVERNANCE



At LBF, we are committed to reducing our carbon footprint in support of Sri Lanka's goal to achieve Net Zero status by 2050. In line with this commitment, we have initiated several key projects and established robust governance practices.

These efforts underscore our dedication to integrating sustainability into our core business strategies, ensuring that our growth contributes positively to both society and the environment.

6.3 Board Empowerment and Capacity Building

As part of its commitment to informed governance, the Board participates in educational sessions led by esteemed academics and industry experts on ESG related topics. These sessions are designed to enhance Board members' understanding of emerging SRRO and CRRO challenges and trends impacting both the region and the financial sector. This ongoing learning empowers the Board to make well-informed decisions and provide effective oversight of LBF's climate strategies and sustainability policies.

6.2 Roles and Responsibilities

The Board Sustainability Committee is a key component of our governance structure, entrusted by the Board to guide LBF's strategic direction on ESG matters. It oversees the company's response to global and local sustainability challenges, ensuring

alignment between strategic initiatives and overarching sustainability objectives. The Committee is responsible for ensuring that the sustainability strategy remains strong, relevant, and effectively implemented throughout the organisation.



CORPORATE GOVERNANCE

6.4 Enhancing ESG Governance and Strategic Integration

The Company has established a comprehensive ESG governance framework that oversees environmental, social, and governance-related matters. This includes the management of CRROs under environmental topics and SRROs within governance areas. The framework is designed to ensure clear accountability and alignment, with a top-to-bottom structure that demonstrates how ESG responsibilities are effectively governed across all levels of the organisation. The BSC convenes quarterly to review and guide the LBF's ESG, related strategies and initiatives. This rigorous scrutiny ensures that our ESG

actions are not only aligned with current best practices but are also strategically integrated with the LBF's overarching sustainability goals.

The Board is responsible for guiding the group's strategy and overseeing the progress against strategic priorities and related value drivers, including the delivery of positive impact on society, economies and the environment. The Board is also responsible for assessing the effectiveness of our risk management processes, including business risk, sustainability risk and climate risk.

Sustainability Management Committee

- Oversees LBF's ESG impact, including sustainability and climate-related impacts
- Monitors stakeholders' issues and concerns
- Drive alignment between strategy and effective ESG risk management and ensure business operation and accountability

6.5 Board Sub Committees Focus on ESG Impact

Board Sustainability Committee (BSC)

Oversee the implementation of LBF's ESG Policy, monitor the progress toward climate commitments and targets, and ensures alignment between these commitments and LBF's overall strategy.

Review and discuss updates on sustainability and climate risk management from business sectors, and critically assesses progress against LBF's SDG commitments and targets at the sector level.

Key initiatives of the year

- Board Approved ESG Policy
- Board Approved ESG pledge and sub-environment policies
- Review sustainability metrics and refined KPIs to include Sustainability and climate-related elements in to the ESG Policy

Board Audit Committee

Oversees management's progress towards implementation of SLFRS S1 and S2.

Ensures development of appropriate methodologies and tools to assess financed emissions and monitors progress in terms of the Company's capacity to measure and disclose financed emissions.

Board Integrated Risk Management Committee

Review and ensure alignment of updates on LBF's business risk management and the progress made in integrating sustainability risk management within the overall risk management framework.

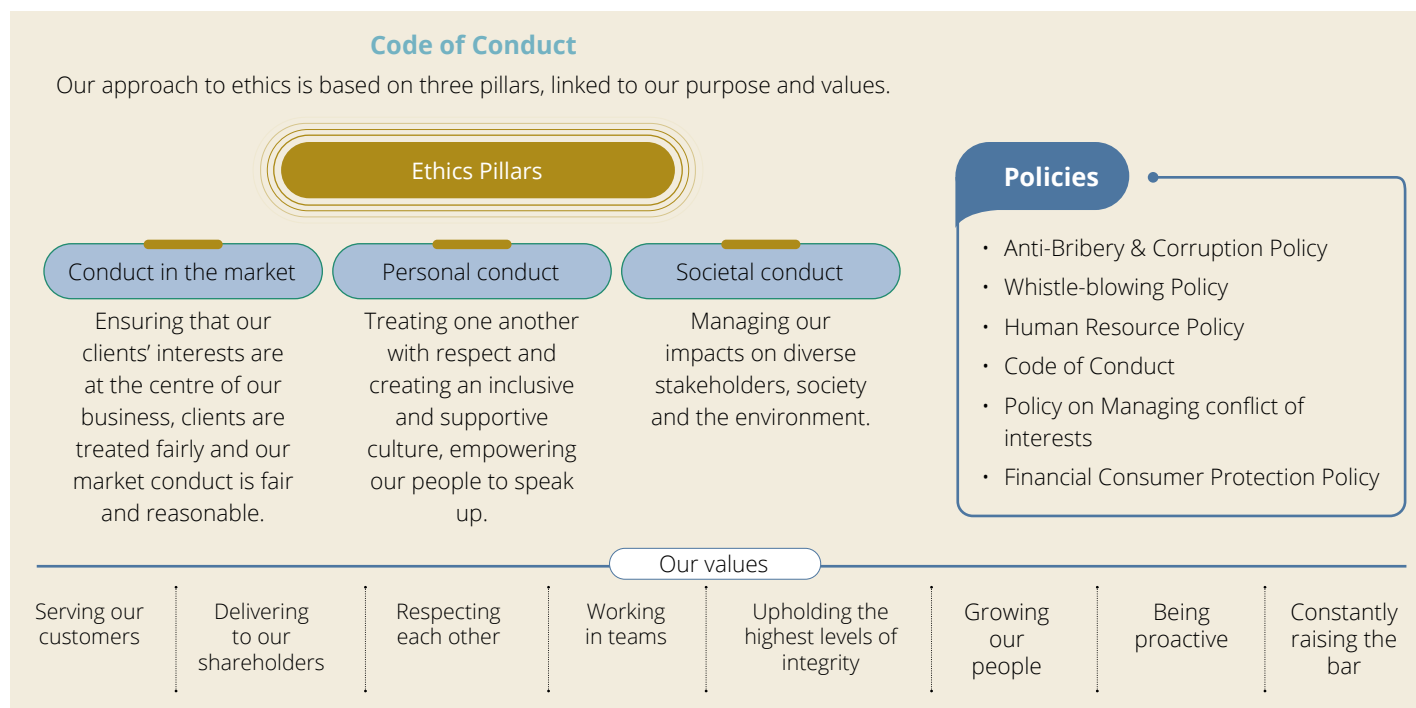
7. OPERATIONAL EXCELLENCE IN ETHICAL GOVERNANCE

7.1 Ethical Practices & Corporate Culture

CASL Code Principle (D.6) Companies must adopt a code of business conduct & ethics for directors, key management personnel and all other employees 

With a legacy spanning over five decades, LBF has cultivated a distinctive corporate culture shaped by its core values and Code of Conduct. Over the years, this culture has evolved into one centered on service and mentorship, facilitating the transfer of institutional knowledge and reinforcing the LBF way of doing business an approach that has consistently contributed to the Company's success.

The Code of Conduct, which addresses the areas illustrated in the accompanying graphic, was most recently reviewed in May 2024. All employees are required to sign the Code upon joining, affirming their understanding of the expected standards of behaviour and guidance on managing conflicts of interest and other workplace situations. These expectations are further underpinned by the Company's Anti-Bribery & Corruption Policy and Whistle-blowing Policy, which provide additional layers of ethical governance and oversight.



a. Whistle-Blowing Policy

LB Finance has established a comprehensive Whistle-Blowing Policy designed to act as a broad-spectrum control and deterrent against misconduct. The policy encourages employees to confidentially report any unfair, unethical, illegal, fraudulent, or otherwise irregular activities directly to the Compliance Officer.

All whistle-blower reports are treated with strict confidentiality and are communicated to the BAC which is responsible for updating the Board, overseeing any necessary investigations, and ensuring appropriate corrective actions are taken. The policy includes strong safeguards to protect the identity of whistle-blowers, thereby enhancing its effectiveness by reducing the fear of retaliation. During the reporting year, there were no whistle-blower incidents reported.

b. Anti-Bribery and Corruption Policy

The Company has adopted a comprehensive Anti-Bribery and Corruption (ABC) Policy that applies to all Directors, employees, and third-party service providers including suppliers, contractors, sub-contractors, outsourced personnel,

and agents across all jurisdictions and business functions. This Policy outlines LBF's commitment to countering bribery and corruption in all forms and managing related risks throughout its operations and transactions.

LBF maintains a strict zero-tolerance stance toward bribery and corruption, recognising such conduct as a serious threat to the company's integrity and reputation. All parties covered under the Policy are required to uphold its principles, which include rigorous anti-bribery and anti-corruption checks, to ensure ethical conduct and compliance across the organisation.

c. Code of Conduct

The Code of Conduct serves as the cornerstone of ethical behaviour and corporate responsibility. It reflects unwavering commitment to integrity, transparency, and accountability in all aspects of our operations. The Code outlines the ethical standards and expectations for all employees, directors, and representatives of the company, fostering a culture of trust and professionalism across the organisation.

The Code provides clear guidance on appropriate behaviour, decision-making, and interactions with internal and external stakeholders. It addresses key areas such as compliance with laws and regulations, conflict of interest, confidentiality, fair treatment, responsible use of company assets, and upholding the highest standards of professionalism.

All new employees are required to formally acknowledge the Code of Conduct upon joining, ensuring they are well-informed of the behavioural standards expected of them. The Code is reviewed periodically to reflect evolving regulatory requirements and best practices, with the most recent review conducted in May 2024.

d. Personal Data Protection Policy

The company is committed to safeguarding personal data and ensuring full compliance with the Personal Data Protection Act, No. 9 of 2022, and related regulatory requirements. The Personal Data Protection Policy (PDPP) is designed to uphold the highest standards of data privacy and outlines the company's obligations and guiding principles for responsible data management.

CORPORATE GOVERNANCE

The Policy aims to:

- Ensure full compliance with applicable data protection laws and standards.
- Process personal data lawfully, fairly, and transparently.
- Collect data solely for specified, legitimate purposes with clear limitations.
- Limit data collection to what is strictly necessary (data minimisation).
- Maintain accurate, up-to-date records and promptly correct inaccuracies.
- Retain personal data only as long as necessary, with secure disposal measures.
- Protect data integrity and confidentiality through robust security measures.

7.2 Internal Control

Over time, the Board has established a robust and comprehensive system of internal controls, encompassing financial reporting and ensuring compliance with both internal policies and external regulations. The responsibility for overseeing this critical function lies with the BAC. Supporting this framework is an independent Internal Audit function, which operates in alignment with the annually approved internal audit plan.

The BAC closely monitors the execution of this plan, reviews internal audit reports, and tracks the implementation of audit recommendations. In addition, the BAC holds meetings with the Chief Internal Auditor to discuss any potential areas of concern. Further details on internal control processes can be found in the Directors' Statement on Internal Control on page 306 to 307 and the Report of Board Audit Committee on pages 289 to 393.

7.3 Risk Management

CASL Code Principle (D.2) The board should establish a policy for determining the nature and extent of the principal risks it is willing to take in achieving its strategic objectives. The board should have a process of risk management and a sound system of internal control to safeguard shareholders' investments and the company's assets. 

CASL Code Principle (D.4) The board should establish a procedure for risk management including how they determine, risk culture, risk appetite, risk identification and classification, rating and management of risk. 

The Board is assisted by the Board Integrated Risk Management Committee (BIRMC) in this regard and a more detailed description of this vital function is given on Board Integrated Risk Management Committee Report on pages 294 to 296.

7.4 Accounting and Audit

CASL Code Principle (D.1) The Board should present a balanced and understandable assessment of the Company's financial position, performance, business model, governance structure, risk management, internal controls and challenges, opportunities and prospects. 

CASL Code Principle (D.3) The Board should establish formal and transparent arrangements for considering how they should select and apply accounting policies for financial reporting, determine the structure and content of corporate reporting, implement internal control and risk management, ensure compliance with laws and regulations and ensuring the independence of the company's auditors. 

The Board holds overall responsibility for ensuring the timely disclosure of quarterly and annual financial statements in compliance with the regulations of the CSE and the CBSL. The BAC plays a key oversight role in this process, conducting thorough reviews of the financial reporting framework, internal controls, and the financial statements themselves recognising their significance as a primary means of communication with shareholders and other stakeholders.

The BAC reviews the quarterly financial statements and the annual report in detail and, upon satisfaction, recommends them to the Board for formal approval and public disclosure.

7.5 Technology Governance

a. Information Technology Governance

IT Governance remains a strategic priority at LBF, ensuring that technology investments and operations are aligned with business objectives and contribute to long-term operational resilience. The function is led by the Chief Information Officer (CIO), who is responsible for overseeing IT infrastructure, digital platforms, and internal controls.

A dedicated IT Security Governance function, reporting to the CIO, provides independent oversight of governance aspects within the IT department. Through these governance mechanisms, the IT function ensures internal compliance, risk management, and control effectiveness to uphold the integrity and reliability of IT operations.

Key IT governance focus areas include:

- Ensuring the availability, stability and security of core IT infrastructure
- Managing data centers, networks and digital service delivery channels
- Monitoring privileged access and IT activities across critical systems
- Conducting internal vulnerability assessments and following up on remediation
- Performing IT vendor security risk assessments

- Lead internal IT compliance aligned with ISO27001:2022 requirements
- Maintaining system uptime and operational continuity support

These efforts help establish a secure and compliant IT environment, enabling the organisation to meet regulatory expectations and deliver uninterrupted digital services.

b. Information Security Governance

Information Security Governance is led by the Chief Information Security Officer (CISO), who provides periodic reporting to the Board Information Security Committee (BISC). This function is responsible for safeguarding the confidentiality, integrity, and availability of the organisation's information assets, while ensuring compliance with regulatory requirements.

The CISO drives the enterprise-wide cybersecurity strategy and risk governance framework through a comprehensive range of initiatives that proactively address emerging threats and evolving compliance expectations.

Key Information security governance focus areas include:

- Developing and maintaining up-to-date information security policies, procedures, and standards
- Proactively monitoring cyber threats and managing threat intelligence streams
- Managing information security incident response and coordinating effective resolution
- Coordinating third party security assessments and conducting security due diligence activities
- Leading organisation wide cybersecurity awareness programmes and phishing simulations
- Supporting audit readiness and ensuring timely remediation of identified findings
- Conducting red teaming exercises and managing the organisation's attack surface

- Ensuring ongoing alignment with ISO/27001:2022 certification requirements

This governance structure enables focused oversight of cybersecurity risks and reinforces organisational resilience in an ever-evolving threat landscape.

7.6 Group Governance

The Board of Directors provides oversight over the Group's operations and is supported by Board sub-committees that monitor key aspects such as risk, audit, compliance, and human resources. Subsidiary company maintains its own governance structures, which are aligned with the parent company's policies and procedures.

Group-wide policies including those on risk management, compliance, internal controls, ethics, and sustainability are developed at the parent company level and cascaded across the Group to ensure consistent application. Regular reporting and performance reviews are conducted to monitor adherence to these policies and assess operational performance, risk exposure, and compliance at the subsidiary level.

8. PRIORITIES FOR 2025/26

The Board have noted the following matters for attention in the year that has commenced:

- Ensure that processes for compliance with SLFRS Sustainability Disclosure Standards are set in place and that internal controls are in place to verify the completeness, accuracy and reliability of sustainability reporting
- Accelerate the implementation of comprehensive data protection policies, practices, and frameworks to comply with PDPA and global best practices
- Strengthen information security frameworks, conduct regular vulnerability assessments, and invest in training and awareness
- Develop governance frameworks for the ethical use of data, AI, and machine learning to ensure fairness, transparency, and non-discrimination

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

INTRODUCTION

The Directors of L B Finance PLC have the pleasure of presenting to the shareholders the Annual Report of the Board of Directors on the affairs of the Company together with the Consolidated Financial Statements of the Company and its subsidiary for the year ended 31 March 2025 and the Independent Auditors Report on those Financial Statements, conforming to the relevant statutory requirements.

This Report includes the information as required by the Companies Act No. 7 of 2007 (Companies Act), Finance Business Act Directions No. 5 of 2021 on Corporate Governance read together with Finance Companies (Corporate Governance) Direction No. 3 of 2008 (as amended) and the Listing Rules of the Colombo

Stock Exchange. It is also guided by the Recommended Best Practices on Corporate Governance.

COMPANY OVERVIEW

L B Finance PLC (the Company) is a Licensed Finance Company in terms of the Finance Business Act No.42 of 2011. It was incorporated under the Companies Ordinance No. 51 of 1938 as a private limited liability company on 30 May 1971, converted to a public limited liability company on 29 September 1982, and was admitted to the Official List of the Colombo Stock Exchange on 30 December 1997. The Company was re-registered as per the Companies Act No. 07 of 2007 on 6 June 2008 under Company Registration No. PQ 156. The Company is a Registered Finance

Leasing Establishment in terms of the Finance Leasing Act No. 56 of 2000.

The Ordinary Shares issued by the Company are listed on the Main Board of Colombo Stock Exchange.

Fitch Ratings upgraded the Company's rating to A-(lka) from BBB+(lka) with a Stable outlook as published on 24 January, 2025.

Both the Registered Office of the Company and its Head Office are situated at No. 275/75, Prof. Stanley Wijesundera Mawatha, Colombo 07.

As per the requirements set out in Section 168 of the Companies Act No. 07 of 2007, the following information is disclosed in this Report for the year under review.

Information Required to be Disclosed as per the Companies Act No. 7 of 2007	Reference to the Companies Act	Level of Compliance by the Company
The nature of the business of the Company	Section 168 (1) (a)	Page 282
Signed Group Financial Statements of the Company for the accounting period under review	Section 168 (1) (b)	Page 356 to 478
Auditor's Report on Group Financial Statements of the Company	Section 168 (1) (c)	Page 351 to 354
Changes in Accounting Policies during the accounting period	Section 168 (1) (d)	Page 366
Particulars of entries in the Interests Register made during the accounting period	Section 168 (1) (e)	Page 285
Remuneration and other benefits paid to the Directors during the accounting period	Section 168 (1) (f)	Page 445
Total amount of donations made by the Company during the accounting period	Section 168 (1) (g)	Page 287
Information on Directorate of the Company at the end of the accounting period	Section 168 (1) (h)	Page 284
Amounts payable to the Auditor as audit fees and fees for other services rendered during the accounting period as a separate disclosure	Section 168 (1) (i)	Page 287 to 288
Auditors' relationship or any interest with the Company	Section 168 (1) (j)	Page 287
Annual Report of the Board of Directors on the affairs of the Company to be signed on behalf of the Board by two Directors and the Company Secretary	Section 168 (1) (k)	Page 288
Information as per Section 168 (i)(b) to (j) in relation to the subsidiaries	Section 168 (2)	Pages 282 and 288

VISION, MISSION AND CORPORATE CONDUCT

The Company's vision, mission and values are given on page 05 of this Report.

The Company remains committed to delivering long-term value to shareholders, clients, employees and the wider community through innovation, responsible management and sustainable growth.

PRINCIPAL ACTIVITIES

The Company's principal activities during the year were savings/deposit mobilisation, lending activities including Finance Lease/Vehicle Loan facilities, Gold Loans, Mortgage Loans, Personal Loans and other Credit Facilities, Value Added Services and

Digital Financial Services. The Company's subsidiary is LB Microfinance Myanmar Company Limited, carried on Micro Finance business in Myanmar. Multi Finance PLC which was a subsidiary of the Company was amalgamated with the Company on 25 July 2024. The Company has an interest in the leisure sector through its investment in The Fortress Resorts PLC. There were no significant changes in the nature of the principal activities of the Company during the year under review. It is further declared that the Company has not engaged in any activity which contravenes laws and regulations.

REVIEW OF OPERATIONS

A review of the business of the Company and its subsidiary and their performance during the year under review with comments on financial results, future strategies and prospects are contained in the Managing Director's Review on pages 50 to 53 which forms an integral part of this Report.

FUTURE DEVELOPMENTS

An overview of the future developments of the Company is given in the Chairman's Remarks on pages 46 to 48 Managing Director's Remarks on pages 50 to 53 and the Management Discussion and Analysis on page 46 to 244.

FINANCIAL STATEMENTS

The Consolidated Financial Statements of the Company and its subsidiary have been prepared and presented in accordance with the Sri Lanka Accounting Standards comprising Sri Lanka Financial Reporting Standards (SLFRSs) and Sri Lanka Accounting Standards (LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the

requirements of the Companies Act No. 07 of 2007, Finance Business Act No. 42 of 2011, the directions and guidelines issued under the said Finance Business Act, and the Listing Rules of the Colombo Stock Exchange.

Consequent to the Board Audit Committee's recommendations, the Financial Statements were reviewed and approved by the Board of Directors on 30 May 2025. The Consolidated Financial Statements of the Company and its subsidiary, duly signed by the Chief Financial Officer and two Directors on behalf of the Board, are attached hereto and form an integral part of the Annual Report.

FINANCIAL RESULTS AND APPROPRIATIONS

The Profit Before Tax increased by 8 % whilst the Company recorded a growth of 13% in Net Profit After Tax for the year under review in comparison to those of the preceding year. The growth in total comprehensive income was 14%.

Details of appropriation of profit of the Company and the Group are given below:

Description	2024/25 Rs. '000	2023 /24 Rs. '000
Profit for the year after payment of all the expenses of management, provision for depreciation and amortisation, impairment of loans and other losses and tax on financial services	16,341,673	15,180,207
Less: Income Tax Expense	5,536,039	5,616,569
Profit After Tax	10,805,634	9,563,638
Unappropriated Balance Brought Forward from Previous Year	33,815,357	28,784,409
Actuarial Gains / (Losses) on Defined Benefit Plans	11,475	(37,594)
Profit Available for Appropriation	44,632,466	38,310,453
Less: Appropriations		
Dividend Paid for Previous Financial Year	1,939,200	2,770,285
Interim Dividend Payable / Paid for Current Financial Year	1,246,629	1,246,629
Transfers During the Year	540,282	478,182
Total Appropriation	3,726,111	4,495,096
Unappropriated Balance Carried Forward	40,906,355	33,815,357
Proposed Final Dividend per share (Rs.)	4.25	3.50

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

In terms of Section 150(1), 151, 152(1) and 153(1) and (2) of the Companies Act No. 7 of 2007, the Board of Directors of the Company is responsible for the preparation of the Financial Statements of the Group and the Company which reflect a true and fair view of the state of affairs of the Company and its subsidiary as at the reporting date and the profit or loss or income and expenditure of the Company and its subsidiary for the accounting period ending as at the reporting date. The Directors confirm that the Income Statement, Statement of Financial Position, Statement of Changes in Equity, Cash Flow Statement and Notes to Financial Statements appearing on pages 356 to 478 have been prepared in conformity with the requirements of the Sri Lanka Accounting Standards, Sri Lanka Accounting and

Auditing Standards Act No. 15 of 1995 and the amendments thereto, Companies Act No. 7 of 2007, directions and guidelines issued under the Finance Business Act No. 42 of 2011 and the Listing Rules of the Colombo Stock Exchange. The Statement of Directors' Responsibilities for Financial Reporting is given on page 305 and forms an integral part of the Annual Report of the Board of Directors on the Affairs of the Company.

DIRECTORS' STATEMENT ON INTERNAL CONTROL

The Board has issued a statement on the Internal Control Mechanism of the Company as per Section 16.1 (ix) of Finance Companies (Corporate Governance) Direction No. 5 of 2021. The said statement which forms an integral part of the Annual Report of the Board of Directors on the

Affairs of the Company is given on pages 282 to 288 The Board has obtained an Assurance Report from the Independent Auditors on the Directors' Statement on Internal Control over Financial Reporting as referred to on pages 306 to 307.

AUDITORS' REPORT

The Report of the Independent Auditors on the Financial Statements of the Company and the Group is given on pages 351 to 354.

ACCOUNTING POLICIES AND CHANGES DURING THE YEAR

The accounting policies adopted in the preparation of the Financial Statements are given on page 363 to 478. There were no significant changes to the accounting policies used by the Company during the

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

year under review vis-à-vis those used in the previous year.

INCOME

The income of the Company for the year ended 31st March 2025 was Rs. 46,731 Million (2023/24 - Rs. 49,230 Million). Group Income during the year under review was Rs. 47,156 Million (2023/24 - Rs. 49,636 Million). An analysis of the Income is given in Note 2.1 to the Financial Statements.

RESERVES

The Reserves of the Company and the Group with the movements during the year under review are given in Note 2.35 to the Financial Statements on page 443.

TAXATION

The Income Tax rate applicable to the Company's operations is 30% (2023/24 - 30%). The Company was also liable for Value Added Tax (VAT) on Financial Services at 18% (2023/24 - 18%) and Social Security Contribution Levy at 2.5% (2023/24 - 2.5%).

CORPORATE GOVERNANCE

The Board of Directors is responsible for the Governance of the Company. The Board of Directors has placed considerable emphasis on developing rules, structures and processes to ensure Integrity and Transparency in all of the Company's dealings and on making the best effort in achieving performance and quality profits. The Board has continuously refined the structure and systems to ensure governance on the lines as defined, being aware all the time that it is accountable to the stakeholders and to the general public.

During the year, the Board met twelve (12) times and reviewed key matters including strategy, risk management, compliance, and performance monitoring.

The Report on Corporate Governance which is on pages 246 to 281 describes the application of the Corporate Governance practices within the Company during the year under review.

THE BOARD OF DIRECTORS

The Board of Directors of the Company as at 31st March 2025 consisted of twelve (12) Directors with a balance of skills, wide knowledge and experience in Entrepreneurship, Banking, Finance, Audit & Assurance, Legal and Marketing which is appropriate for the business carried out by the Company. The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on pages 254 to 259 which also includes other directorships held by Directors.

Executive Directors

Mr. J A S S Adhihetty - Managing Director
Mr. Niroschan Udage - Deputy Managing Director
Mr. B D A Perera
Mr. R S Yatawara

Non-Executive Directors

Mr. G A R D Prasanna - Chairman
Mr. M A J W Jayasekara *+
Ms. Yogadinusha Bhaskaran
Ms. Ashwini Natesan *
Mr. Dharmadasa Rangalle
Ms. Yanika Amarasekera *
Mr. Piyal Hennayake *
Mr. Priyantha Talwatte *

+ Senior Independent Director

* Independent Director

Fit and Proper Assessment of Directors

In terms of Rule 9.7.4 of the Listing Rules of the Colombo Stock Exchange, Declarations were obtained from the Directors who confirmed that they have continuously satisfied the Fit and Proper Assessment Criteria set out in the Listing Rules during the financial year under review and as at the date of such Declarations.

Extension of Office of the Managing Director

The approval of the Monetary Board of the Central Bank of Sri Lanka was granted on 26 June 2024 in terms of the Finance Business Act, Directions No.5 of 2021, for the Managing Director, Mr. J A S S Adhihetty to continue in office, for a period of one (01) year after attaining the age of seventy four (74) years. Accordingly, in terms of the approval granted by the Monetary Board

of the Central Bank of Sri Lanka for the Managing Director, Mr. J A S S Adhihetty to continue in office upto 3 July 2025 read together with the provisions of Sections 210 and 211 of the Companies Act, No.7 of 2007, the Board at its meeting held on 21 May 2025 resolved to seek the approval of the shareholders at the forthcoming Annual General Meeting, to re-appoint Mr Adhihetty as a Director upto and including 3 July 2025.

Resignations/Cessations

There were no Resignations/Cessations during the year under review.

Directors of the Subsidiary

The Directors of the subsidiary, LB Microfinance Myanmar Company Limited as at 31st March 2025 consisted of the following:

Mr. J A S S Adhihetty
Mr. Niroschan Udage
Mr. B D A Perera
Mr. R S Yatawara

There were no changes in the Directors of the subsidiary.

Retirement by Rotation and Re-election of Directors/Annual Assessment of continuing Directors

The names of the Directors who are:

- (i) subject to retirement by rotation in terms of Articles 85 and 86 of the Articles of Association, and,
- (ii) subject to re-election in terms of Article 93 of the Articles of Association,
- (iii) proposed for re-appointment in terms of Section 211 of the Companies Act No. 7 of 2007, and the applicable provisions thereto,
- (vi) subject to annual assessment of their fitness and propriety to continue as Directors in terms of Finance Business Act Directions No.6 of 2021, are set out in the undernoted Table.

Name of Director	Applicable Article of the Articles of Association / Section of the Companies Act / Finance Business Act Directions
Mr Dharmadasa Rangalle and Mr. B D A Perera	According to Articles 85 and 86, the Directors to retire by rotation at the Annual General Meeting are those who (being subject to retirement by rotation) have been longest in office since their last election or appointment. If one-third (1/3rd) of the Directors eligible for retirement by rotation is not a multiple of three (03), the number nearest to (but not greater than) one-third (1/3rd) shall retire from office. As per the Articles (Article 86), in calculating the said number, a Director appointed to the office of Chairman, Managing or Joint Managing Director are excluded. Accordingly, after excluding the Chairman, the Managing Director and the Deputy Managing Director, together with the Directors who are eligible for re-appointment, the number of Directors subject to retirement by rotation is seven (07) and therefore, two (02) Directors should retire by rotation. Accordingly, Messrs. Dharmadasa Rangalle and B. D. A. Perera who have been longest in office, since their last re-election retire and offer themselves for re-election at the forthcoming AGM. The Company has applied to the Director – Department of Supervision of Non-Bank Financial Institutions of the Central Bank of Sri Lanka, for the requisite regulatory approval in terms of Section 5.1.2 of the Finance Business Act Directions No. 06 of 2021, with respect to the said re-election and continuation. A Resolution will be placed before the shareholders at the forthcoming AGM for the re-election of the said Directors which will be effective, upon the receipt of requisite Regulatory approval as aforesaid.
Mr. Piyal Hennayake	As per Articles of Association of the Company the Directors appointed during the year under review are subject to re-election at the relevant Annual General Meeting.
Mr Priyantha Talwatte.	Accordingly, Messrs. Piyal Hennayake and Priyantha Talwattee who were appointed to the Board of Directors of LB Finance PLC on 18 November, 2024 are subject for re-election at the next Annual General Meeting. The Company has applied to the Director – Department of Supervision of Non-Bank Financial Institutions of the Central Bank of Sri Lanka, for the requisite regulatory approval in terms of Section 5.1.2 of the Finance Business Act Directions No. 06 of 2021, with respect to the said re-election and continuation. A Resolution will be placed before the shareholders at the forthcoming AGM for the re-election of the said Directors which will be effective, upon the receipt of requisite Regulatory approval as aforesaid.
Mr. J A S S Adihetty	The approval of the Monetary Board of the Central Bank of Sri Lanka was granted on 26 June 2024 in terms of the Finance Business Act, Directions No. 5 of 2021, for the Managing Director, Mr. J A S S Adihetty to continue in office, for a period of one (01) year after attaining the age of seventy four (74) years. Accordingly, in terms of the approval granted by the Monetary Board of the Central Bank of Sri Lanka for the Managing Director, Mr. J A S S Adihetty to continue in office upto 3 July 2025 read together with the provisions of Sections 210 and 211 of the Companies Act, No. 7 of 2007, the Board at its meeting held on 21 May 2025 resolved to seek the approval of the shareholders at the forthcoming Annual General Meeting to re-appoint Mr. Adihetty as a Director upto 3 July 2025.
7 other Directors	In terms of Section 3.3 of the said Directions, the fitness and propriety of continuing Board Directors is subject to annual assessment by the Director, Department of Supervision of the Non- Bank Financial Institutions of the Central Bank of Sri Lanka. The Company has applied to the Director, Department of Supervision of the Non- Bank Financial Institutions of the Central Bank of Sri Lanka for the required regulatory approval in terms of the said Directions and the continuation of the office of the said Directors is subject to receiving the requisite Regulatory approval.

The Board Nomination and Governance Committee / the Board of Directors have recommended the re-election/ re-appointment / continuation of the said Directors, subject to the relevant Regulatory approval/s in terms of the applicable Directions issued under the Finance Business Act.

Directors' Interests Register and Directors' Interests in Contracts or Proposed Contracts

The Company maintains the Directors' Interests Register in terms of the Companies Act No. 7 of 2007. Directors of the Company have made necessary declarations of their interests in Contracts and proposed Contracts in terms of Sections 192 (1) and 192 (2) of the Companies Act. These interests are entered

in the Interests Register which is deemed to form part and parcel of this Annual Report and available for inspection upon request.

The particulars of the Directors Interests in Contracts with the Company are given in Note 3.1 to the Financial Statements on page 445 and form an integral part of this Annual Report. The remuneration paid to the Directors during the year under review is entered in the Interests Register

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

and the aggregate of such remuneration is disclosed in this Annual Report under “Directors’ Remuneration” on page 445. In accordance with the Myanmar Companies Law, Directors of the Myanmar subsidiary have disclosed their interests in shares and securities in the said subsidiary and also their interests in contracts and other arrangements with the said company.

Directors’ Declarations in terms of Rule 9.17 of the Listing Rules of the CSE

The Directors declare that all material interests in contracts involving the Company have been disclosed to the Board and wherever any Director was materially interested in a contract or a proposed contract with the Company, they have refrained from voting on such contracts. It is further declared that during the year under review, the Company did not enter into any contracts in which any Director was interested.

Directors’ Declarations in terms of Section 16.1(ii) and (v) of Finance Business Act Directions No. 5 of 2021 and Rule 9.10.4 (c) of the Listing Rules of the CSE

The Chairman and the Directors of the Company have made declarations as per the requirements in the above Directions / Rules, that there is no financial, business, family or other material/relevant relationship(s) between the Chairman and the Managing Director and/or amongst the members of the Board.

RELATED PARTY TRANSACTIONS WITH THE COMPANY

The Directors have also disclosed transactions, if any, that could be classified as Related Party Transactions (RPTs) in terms of LKAS 24. With effect from 1 January 2016, all proposed non-recurrent (RPTs) have been placed before the Related Party Transactions Review Committee in accordance with Listing Rules of Colombo Stock Exchange, for its review and recommendations, which was extended to recurrent transactions as well, during the financial year under review. The aggregate value of transactions of related parties (as defined in LKAS 24 – “Related Parties Disclosure”) with the Company are set out

in Note 3.1 to the Financial Statements on page 445. The Board confirms that the Company has not engaged in transactions with any related party in a manner that would grant such party ‘more favourable treatment’ than that accorded to other similar constituents of the Company. The Board of Directors declares that the Company is in compliance with the applicable provisions of the Listing Rules pertaining to (RPTs) during the Financial Year ended 31 March 2025.

DIRECTORS’ REMUNERATION

The remuneration of Directors of the Company and its Subsidiary is disclosed under Key Management Personnel compensation in Note 3.1 to the Financial Statements on pages 445.

RELEVANT INTERESTS OF DIRECTORS’ IN SHARES

The Directors’ shareholding and the relevant interests of Directors in the shares of the Company as at 31 March 2025 and 31 March 2024 are given on page 483.

BOARD SUBCOMMITTEES

The Board of Directors of the Company has formed seven (07) Committees in compliance with the Finance Business Act Direction No.5 of 2021 and read together with Finance Companies (Corporate Governance) Direction No.3 of 2008 (as amended), Finance Business Act Direction No.1 of 2022 on Technology Risk Management and Resilience, Listing Rules of the Colombo Stock Exchange, as per the Recommended Best Practices on Corporate Governance and SLFRS S1 and S2 (Sustainability Disclosure Standards). They are the Board Audit Committee, Board Integrated Risk Management Committee, Board Human Resource and Remuneration Committee, Board Related Party Transactions Review Committee, Board Nomination and Governance Committee, Board Information Security Committee and Board Sustainability Committee.

The composition of the said committees as at 31 March 2025 is as follows:

Board Audit Committee (BAC)

Mr. Ashane Jayasekara
Chairman
Senior Independent Non-Executive Director
Ms. Yogadinusha Bhaskaran
Non-Executive Director
Ms. Ashwini Natesan
Independent Non-Executive Director
The Report of the said Committee appears on page 289.

Board Integrated Risk Management Committee (BIRMC)

Ms. Ashwini Natesan
Chairperson
Independent Non-Executive Director
Mr. Ashane Jayasekara
Senior Independent Non-Executive Director
Ms. Yogadinusha Bhaskaran
Non-Executive Director
The Report of the said Committee appears on page 294.

Board Human Resources and Remuneration Committee

Ms. Yanika Amarasekera
Chairperson
Independent Non-Executive Director
Mr. G A R D Prasanna
Non-Executive Director
Mr. Ashane Jayasekara
Independent Non-Executive Director
The Report of the said Committee appears on page 298

Board Related Party Transactions Review Committee (BRPTRC)

Mr. Piyal Hennayake
Chairman
Independent Non-Executive Director
Mr. Dharmadasa Rangalle
Non-Executive Director
Mr. Priyantha Talwatte
Independent Non-Executive Director
The Report of said Committee appears on page 299.

Board Nomination and Governance Committee (BNGC)

Mr. Ashane Jayasekera
Chairman
Independent Non-Executive Director

Mr. G A R D Prasanna
Non-Executive Director

Ms. Ashwini Natesan
Independent Non- Executive Director

The Report of the said Committee appears on page 297.

Board Information Security Committee (BISC)

Ms. Ashwini Natesan
Chairperson
Independent Non Executive Director

Mr. Ashane Jayasekera
Independent Non-Executive Director

Mr. B D A Perera
Executive Director

The Report of the said Committee appears on page 300.

Board Sustainability Committee (BSC)

Ms. Yanika Amarasekera
Chairperson
Independent Non-Executive Director

Mr. G A R D Prasanna
Non-Executive Director

Mr. Niroshan Udage
Deputy Managing Director

Ms. Ashwini Natesan
Independent Non-Executive Director

Mr. Piyal Hennayake
Independent Non-Executive Director

The Report of the said Committee appears on page 302.

STATED CAPITAL AND DEBENTURES

The Stated Capital of the Company as of 31st March 2025 was Rs. 838,282,159/- represented by 554,057,136 Ordinary Shares. There were no changes in the Stated Capital of the Company during the year under review.

SHARE INFORMATION AND SUBSTANTIAL SHAREHOLDINGS

There were 5,348 shareholders registered as of 31 March 2025 (5,014 shareholders as of 31 March 2024).

DISTRIBUTION SCHEDULE OF SHAREHOLDERS, MAJOR SHAREHOLDERS, PUBLIC HOLDING AND RATIOS AND MARKET PRICE INFORMATION

Information as required by the Listing Rules on distribution of shareholding with the respective percentages, twenty (20) Major Shareholders, Public Holding & Ratios and Market Price Information are set out on pages 482 to 483 under Financial Review.

DIVIDENDS

The Company paid an Interim Dividend of Rs. 2.25 per Ordinary Share for the year under review out of the profits of the Company. The Directors have recommended a Final Dividend of Rs. 4.25 per Ordinary Share for the year under review on the shares in issue of 554,057,136 to be approved by the shareholders at the forthcoming Annual General Meeting. As required by Section 56 of Companies Act No. 07 of 2007 (Companies Act), the Directors have certified that they are satisfied that the Company will, immediately after the said distribution is made, satisfy the solvency test in accordance with the Companies Act and subsequent to such declaration, the Directors have obtained the Auditors Certificate of Solvency thereon.

In compliance with Guideline on Declaration of Dividends and Repatriation of Profits dated 31 January 2023 - Ref. 24/10/001/0019/005 issued under the Finance Business Act, the Company obtained the approval of the Director, Department of Supervision of Non-Bank Financial Institutions of the Central Bank of Sri Lanka for the proposed Final Dividend. The said Final Dividend will, subject to approval by the shareholders, be payable on or before 7 July 2025 to those shareholders who have provided accurate dividend disposal instructions, by way of direct credit to their respective Bank Accounts, through SLIPS and on 21 July 2025 to those shareholders whose payments are to be made by way of cheques.

PROPERTY PLANT & EQUIPMENT AND SIGNIFICANT CHANGES IN THE COMPANY'S AND ITS SUBSIDIARY'S FIXED ASSETS/ MARKET VALUE OF LAND

The details of Property, Plant and Equipment are given in Notes 2.23 of the Financial Statements. The Lands and Buildings owned by the Company are recorded at cost and details of those properties and their market values as at 31st March 2025 as per valuations conducted by H V Manjula Basnayake an Independent Valuer. The said information is set out in Note 2.23.9 to the Financial Statements on page 424.

HUMAN RESOURCES

The Company's Employment Policy is totally non-discriminatory which respects individuals and provides career opportunities irrespective of the gender, race, and religion. As at 31st March 2025, the Company had 4,407 employees (4,132 employees as at 31st March 2024).

MATERIAL ISSUES PERTAINING TO EMPLOYEES AND INDUSTRIAL RELATIONS PERTAINING TO THE COMPANY

No material issues pertaining to employees or industrial relations of the Company occurred during the year under review which required disclosure under Rule 7.6 (vii) of the Listing Rules.

EMPLOYEE SHARE OPTION SCHEMES/ EMPLOYEE SHARE PURCHASE SCHEMES

The Company has not implemented any Share Option/Share Purchase Schemes for its employees.

DONATIONS

The Company made donations to the value of Rs. 12.39 million during the year under review. The subsidiaries L B Myanmar Company Limited did not make any donations during the year under review.

AUDITORS

Messrs KPMG, Chartered Accountants served as the Independent Auditors during the year under review and also provided audit-related services and permitted non-audit/consultancy

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

services. The Auditor of the subsidiary company, L B Microfinance Myanmar Company Ltd is UTW (Myanmar) Limited, a Member of Ernst & Young Global Limited.

RISK MANAGEMENT AND INTERNAL CONTROLS

An ongoing process is in place to identify and manage the risks that are associated with the business and operations of the Company. The Directors review this process through the Board Audit Committee and the Board Integrated Risk Management Committee. Specific steps taken by the Company to manage the Risks are detailed under “Integrated Risk Management Report” on page 311. The Board, through the Board Audit Committee and Board Integrated Risk Management Committee, conducts a review of internal controls covering financial, operational and compliance controls and risk management and has obtained reasonable assurance of their effectiveness and successful adherence therewith.

Directors’ Statement on Internal Control is on page 306.

MATERIAL FORESEEABLE RISK FACTORS

Material Foreseeable Risk Factors as applicable to the business operations of the Company and its subsidiary are set out in Notes 4.1 to 4.5 to the Financial Statements.

APPRAISAL OF BOARD PERFORMANCE

A scheme of self-assessment is undertaken annually by each Director in conformity with the Section 1.5 (d) of the Finance Business Act Directions No. 05 of 2021 by answering a self-assessment questionnaire. The responses are collated by the Company Secretary, which are submitted to the Board for discussion and further evaluated by the Board. In terms of the said Direction, the Board also carried out an annual self-evaluation of its own performance and that of the Sub-Committees to ensure that they discharge their duties and responsibilities satisfactorily in terms of the Companies Act No. 07 of 2007, Finance Business Act Direction No. 05 of 2021, Listing Rules of Colombo Stock Exchange and Best Practices on Corporate Governance. Evaluations for the year under review of the Board of Directors and its Sub-Committees were

discussed at the meeting of the Board of Directors.

COMPLIANCE WITH LAWS AND REGULATIONS

The Compliance Officer independently monitors adherence with all applicable laws, regulations and statutory requirements and reports to the Board of Directors, the Board Audit Committee and the Board Integrated Risk Management Committee. The Board has made arrangements to make themselves aware of applicable laws, rules and regulations and changes thereto, particularly to Listing Rules and applicable capital market provisions through regular updates provided by the Compliance Officer, Head of Legal, the Company Secretary, and the Directors themselves, whose expertise lies in the field of Law / Finance / Audit.

STATUTORY PAYMENTS

The Directors confirm that, to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of and in respect of employees of the Company and all other known statutory dues as were due and payable by the Company as at the reporting date have been paid or where relevant provided for, except for certain assessments where appeals have been lodged.

ENVIRONMENTAL PROTECTION

The Company has not engaged in any activity that is harmful or hazardous to the environment. Measures taken by the Company on environmental protection are given in the report on Natural Capital on page 208.

OUTSTANDING LITIGATION

In the opinion of the Directors and Company’s Lawyers, pending litigation by and against the Company will not have a material impact on the financial position of the Company or its future operations.

CONTINGENT LIABILITIES

Except as disclosed in Note 3.5 to the Financial Statements, there were no material contingent liabilities as at the reporting date.

EVENTS AFTER THE REPORTING DATE

Except for matters disclosed in Note 3.10 to the Financial Statements, there are no material events as at the date of the Auditor’s Report which require adjustment to or disclosure in the Financial Statements.

GOING CONCERN

The Board of Directors has reviewed the Company’s corporate/business plans and is satisfied that the Company has adequate resources to continue its operations in the foreseeable future. Accordingly, the Financial Statements of the Company are prepared based on the going concern concept.

ANNUAL GENERAL MEETING

The Notice of the Fifty Second (52nd) Annual General Meeting appears on page 551.

ACKNOWLEDGEMENT OF THE CONTENT OF THE REPORT

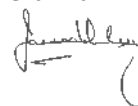
As required by Section 168 (1) (k) of the Companies Act, this Report is signed on behalf of the Board of Directors of the Company by two (02) Directors and the Company Secretary in pursuance of the authority granted by the Board Resolution passed on 30 May 2025 pursuant to having acknowledged the contents of this Annual Report.

The Board acknowledges the efforts and dedication of the Company’s management, employees, and stakeholders. We also thank our shareholders for their continued trust and support.

Signed on behalf of the Board of Directors



G A R D Prasanna
Chairman



Sumith Adhihetty
Managing Director



Tharanga Nandasena
Company Secretary

30 May 2025

BOARD AUDIT COMMITTEE REPORT



Ashane Jayasekara
Chairman - Board Audit Committee

The Audit Committee remains unwavering in its dedication to the highest standards of corporate governance, consistently upholding practices that safeguard the interests of LBF and its stakeholders. This steadfast commitment reinforces trust, accountability, and long-term value creation across the organisation.

We affirm that the financial disclosures in this report are the product of diligence, independence, and an unwavering commitment to excellence in governance

PURPOSE OF THE COMMITTEE

The Board Audit Committee was established by the Board of Directors to obtain an objective review and oversight of the organisation's financial reporting process, governance process, the assurance process, the Company's system of internal controls and risk management and compliance processes.

COMPOSITION OF THE COMMITTEE

As of 31 March 2025, the Board Audit Committee was comprised of three Non-Executive Directors, a majority of whom are independent. The Committee is chaired by an Independent Non-Executive Director. The Committee composition is in conformity with all regulatory composition requirements and D.3.1 of the Code of

Best Practice on Corporate Governance 2023, issued by CA Sri Lanka. The Board is confident that the current members of the Committee possess the necessary competence in finance and technology related matters and have recent and relevant experience.

Mr. Ashane Jayasekara *
Chairman
Independent Non-Executive Director

Ms. Yogadinusha Bhaskaran **
Non-Executive Director

Ms. Ashwini Natesan
Independent Non-Executive Director

* Appointed as Chairman w.e.f. 01/07/2024

** Chaired the Committee up to 30/06/2024

COMMITTEE MEETINGS

The Committee held 13 meetings during the financial year 2024/25. Details regarding the attendance of the Committee Members are presented below.

Member Name	Meetings Held	Meetings Attended	Attendance Percentage
Mr. Ashane Jayasekara	13	13	100%
Ms. Yogadinusha Bhaskaran	13	13	100%
Ms. Ashwini Natesan	13	13	100%

The Managing Director, Deputy Managing Director, Executive Directors and the senior members of the management team including Chief Internal Auditor, Chief Financial Officer, Compliance Officer and Assistant General Manager – Risk Management attended the meetings by invitation. Representatives of the Company's External Auditor, Messrs. KPMG Sri Lanka,

were also invited to participate as and when deemed necessary.

The Chief Internal Auditor serves as the Secretary to the Committee, and the proceedings of each meeting are regularly reported to the Board. Detailed profiles of the Board Audit Committee members are presented on pages 256 to 259.

REGULATORY FRAMEWORK

Internal Governance Framework

The Board approved Charter of the Audit Committee is in place and it clearly defines the roles and responsibilities of the Committee. The Audit Committee Charter is reviewed annually to ensure that all new developments related to Audit Committee are duly incorporated. The Audit Committee Charter was last reviewed and approved by the Board of Directors in June 2024.

The Committee's Charter clearly outlines its purpose, composition, responsibilities and authority, with a primary focus on ensuring the integrity and accuracy of the Company's financial reporting. The Board Audit Committee plays a vital role in supporting the Board by overseeing internal and external audit functions, monitoring the effectiveness of internal financial controls and the overall financial reporting process, and ensuring compliance with applicable internal policies and regulatory requirements.

External Governance Framework

The role, functions, and composition of the Audit Committee are defined by a robust external Governance Framework.

- Finance Business Act Direction No. 5 of 2021 on Corporate Governance issued by the Central Bank of Sri Lanka
- Section 9.13 of the Listing Rules of the Colombo Stock Exchange
- Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka

BOARD AUDIT COMMITTEE REPORT

These frameworks collectively provide the foundation for the Committee's oversight responsibilities and are periodically reviewed to ensure consistency with these evolving regulatory and governance standards.

COMMITTEE RESPONSIBILITIES

The key responsibilities of the Board Audit Committee as mandated by the Board are as follows;

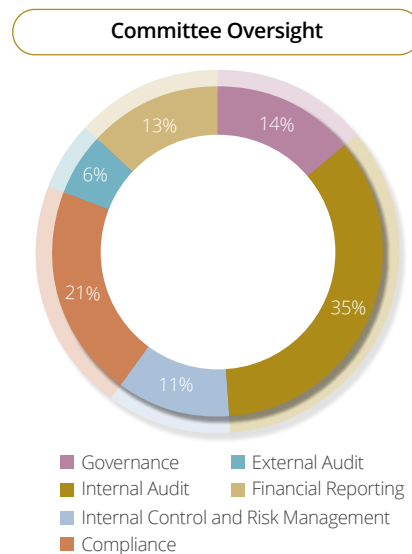
- Assist the Board in its independent oversight of the accuracy and integrity of the financial statements, risk management, internal control systems and compliance with company policies, legal and regulatory directives from the CBSL, CSE and other regulatory bodies. This ensures the adequacy and effectiveness of the Company's governance processes, ultimately safeguarding the interests of all stakeholders, including shareholders and depositors
- Review the appropriateness and consistency of accounting policies and ensure compliance with statutory, regulatory, and applicable accounting standards, while also assessing the integrity of interim and annual financial statements prior to their submission to the Board
- Exercise its independent oversight over the internal and external assurance processes to ensure that both auditors maintain their independence, objectivity and the effectiveness of the audit process. The Committee considers relevant local and global professional and regulatory requirements to ensure compliance
- Ensure that the Company adopts and adheres to the highest level of standards in corporate governance practices, risk management measures, ethical standards and industry best practices in the best interest of all stakeholders
- Review the results of all types of inspections such as internal audit reports, information system audit reports and working with Senior Management to identify and address control weaknesses,

procedure violations, frauds and errors. The Committee takes necessary precautionary measures to mitigate risks may arise

- Assess the adequacy of resources to fulfil its duties, including support from the Internal Audit Department, the External Auditor, legal counsel and management
- The Committee examines all matters relating to the company's accounting principles and practices, as well as reviews all material financial, operational and compliance controls
- Examine statutory examination reports and ensure necessary corrective action are timely taken and monitor the implementation of action plan

COMMITTEE FOCUS IN 2024/25

During the year under review, the Committee played a pivotal role in strengthening the Company's Governance Framework by supporting the Board in overseeing key organisational functions. The Committee also provided oversight on matters related to regulatory and internal compliance.



The following key initiatives and actions were undertaken at the Committee meetings convened during the year.

Financial Reporting System

The Committee assisted the Board of Directors in the discharge of its duties

by reviewing the Company's financial reporting system. The Committee ensured that accounting policies, practices and internal controls are adequate to provide reasonable assurance that the financial reporting system is effective and efficient in providing reliable and timely information. The Committee discharged its duties with particular reference to the following:

- The preparation, presentation and adequacy of the disclosures in the Company's annual and interim financial statements in conformity with Sri Lanka Accounting Standards, regulatory and statutory requirements applicable to LBF;
- The rationale and basis for the 'Significant Estimates and Judgments' underlying the financial statements;
- The internal control systems including information systems and procedures in place to provide reasonable assurance on the accuracy of recording all transactions in the books of accounts;
- The effectiveness of the financial reporting systems including the management accounts to ensure reliability of the information provided to the Board and other stakeholders of the Company;
- The Board Audit Committee has obtained assurance from both the MD and the CFO regarding LBF's operations and finances to further strengthen its oversight responsibility on financial reporting and internal controls;
- The annual and the quarterly financial statements have been reviewed and recommended for the approval of the Board.

External Assurance

- The Committee supports the Board in evaluating the independence and performance of the External Auditors, recommending their appointment or removal, and approving their remuneration and terms of engagement in line with regulatory requirements
- In compliance with the Corporate Governance Direction No. 05 of 2021, the Committee evaluated proposals from

several leading audit firms operating in Sri Lanka. Based on this evaluation, the Committee recommended the appointment of Messrs. KPMG Sri Lanka, Chartered Accountants, as the External Auditor for the financial year ending 31 March 2025. This recommendation was subsequently approved by the shareholders at the Annual General Meeting

- The Committee reviewed the independence, objectivity and the effectiveness of the audit process in accordance with applicable standards and best practices. A written assurance was obtained from the External Auditor confirming that they have been independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements. During the year, the Committee has evaluated the External Auditor in line with applicable standards and industry best practices and is satisfied with the status of the independence, objectivity and performance of the External Auditor
- The Committee together with management reviewed, and discussed the scope of audit, approach and audit plan with the External Auditor, Messrs. KPMG Sri Lanka, prior to the commencement of the audit for 2024/25. The Committee reiterated the necessity of reviewing the compliance status on regulatory and statutory requirements, preparation of financial statements in conformity with relevant accounting principles and reporting obligations, cybersecurity aspects and other internal control measures
- The Auditors were provided with the opportunity of meeting the Committee Members twice during the year, without any executive officer being present, to ensure that the Auditors had the unrestricted opportunity to discuss and express their opinions on any relevant matter. This process assured the Committee that the management has fully cooperated in providing the information and explanations requested by the Auditor

- The Committee met the External Auditors to discuss the management letter pertaining to the previous year's audit and the management's response thereto. Follow up actions were taken to ensure that the recommendations contained in the management letter were implemented by management.
- The Committee reviewed the non-audit services provided by the auditor to ensure that the provision of these services does not impair their independence and objectivity. The Committee is satisfied that there is no conflict of interest between the Company and the Auditor which would hinder the independence and objectivity of the Auditor. The Policy for engaging the External Auditor for Non-Audit services was reviewed and approved in June 2024.

Internal Assurance

The Chief Internal Auditor reports directly to the Board Audit Committee and provides independent assurance to the Committee in discharging its duties. The Committee ensures that the internal audit function remains independent from operational and management influence, and is adequately resourced to perform its responsibilities effectively.

- The Board approved procedure manual for Internal Audit Department is in place to reflect current practices of the Internal Audit Department. The procedure manual was last reviewed and approved by the Board in June 2024
- A risk-based audit methodology and approach has been adopted and all auditable areas/ processes of the Company are covered. The risk-based annual internal audit plan is reviewed by the Committee before commencement of the financial year and assessment is made on the adequacy of resources for the department to provide uninterrupted assurance services
- The Committee has reviewed the performance of the Chief Internal Auditor for the period to strengthen the independent assurance process

- The Committee reviewed the efficacy of the internal control system and compliance with regulatory requirements and also the Company's accounting and operational policies through the Internal Audit function. Prior to the commencement of audits, the scope of audit is reviewed by the Committee which recommends the amendments where necessary, prior to approval. Control weaknesses highlighted in the internal audit reports are critically examined by the Committee. All observations are graded into separate risk groups based on the risk grading matrix adopted by the Company and action plans are prioritised according to the severity. Follow up action taken by the management on the audit recommendations are also reviewed and follow up audits are done where necessary to ensure the effectiveness of the internal controls

- The Company remains committed to the continuous improvement of its information systems, encompassing people, processes, and technology. The Board Audit Committee placed significant emphasis on the oversight of the Company's information systems and supporting technology infrastructure. This focus ensures the adequacy of internal controls and the effectiveness and efficiency of related investments, while upholding the principles of confidentiality, integrity, availability, and non-repudiation critical to the reliability of financial reporting processes. The IS Audit teams conducted independent audits aligned with globally recognised frameworks and standards, including ISO 27001:2022, COBIT, NIST, and CIS, as well as applicable statutory and regulatory requirements.
- The Committee has prioritised systematic examinations of exception transaction monitoring throughout the reporting period. These evaluations entailed meticulous reviews of financial transactions, operational procedures, and regulatory compliance frameworks to detect any deviations from established norms or potential risks. The Internal Audit team has been engaged to assess

BOARD AUDIT COMMITTEE REPORT

methodologies and tools for scrutinising anomalies and exceptions, with the aim of fortifying the Company's control environment and reducing potential threats.

Internal Control Systems and Risk Management

The Committee oversees the effectiveness of the Company's internal control systems and risk management framework. It ensures that adequate controls are in place to safeguard assets, maintain financial integrity, and support sound risk governance, while regularly reviewing reports from internal audit and management to address any control weaknesses or emerging risks

- Various processes have been implemented by the Committee to ensure the efficiency and effectiveness of Company's internal control systems. Key processes related risks and internal controls are regularly reviewed by the Internal Audit department and is of the view that adequate controls and procedures are in place to provide reasonable assurance to the Board that the assets of the Company are safeguarded and the financial statements present a true and fair view. Status of remediation plans are updated and reported at the monthly Board Audit Committee meetings.
- Committee periodically reviewed key financial matters of the Company to identify and manage associated risks, ensuring continuity of operations. It also focused on specific operational areas of the Company, engaging in detailed discussions with the leadership team to assess the adequacy and effectiveness of internal controls, particularly in relation to operational processes and information security.
- The Committee reviewed the Risk Management Framework and Internal Capital Adequacy Assessment Process (ICAAP) of the Company during the year. In addition, a process has been established to assess the effectiveness of the Company's internal control systems and internal controls over financial reporting.

- Provided assurance to the Board on the overall soundness of the control environment and the Company's readiness to manage evolving risks, including operational, financial, compliance, and IT related risks.

Compliance Monitoring Mechanism

Statutory and regulatory compliances are a priority. Mechanisms to ensure timely and effective implementation of regulatory requirements are necessary to safeguard the interests of all stakeholders. Process owners are responsible for complying with all regulations as part of their standard operating procedure.

- The Compliance Officer communicated all new regulatory requirements and ensured that relevant policies and procedure manuals are updated accordingly to reflect those changes. The Compliance Officer reviewed and reported on any gaps or areas of non-compliance to the Board Audit Committee
- The reports of the Compliance Officer are submitted monthly to the Board Audit Committee and Committee Chairman updates the Board on matters which require Board's attention
- A process has been set up to obtain periodic confirmations from the Senior Management regarding compliance with the statutory and regulatory requirements through the compliance function. The Committee also obtains assurance from Internal Auditors on several key regulatory compliance of the Company, in line with their respective internal audit programmes.
- A process is in place to establish new procedures/processes, or amending the existing, to facilitate new statutory/ or regulatory requirements come into effect. The Compliance Officer agrees on internal timelines with the respective process owners when a significant change in people, processes or systems are effected as a result of new regulations.
- Significant regulatory directives were implemented during the year under review, including Direction No. 04 of

2024 on Operational Risk Management, Direction No. 03 of 2024 on Deposit Solicitation by Finance Companies, and Direction No. 02 of 2024 on Credit Risk Management. These directives have been effectively integrated into the Company's operations. The Compliance Officer has ensured diligent follow-up on the implementation of statutory and regulatory requirements, with regular updates provided to the Committee during monthly meetings.

- The statutory examination report of CBSL and Financial Intelligence Unit (FIU) have also been reviewed in its monthly meetings and necessary remedial actions have been taken as agreed in the time-bound action plan.

The Committee is satisfied with the present status of compliance with financial reporting requirements, CBSL regulatory requirements, information requirements under CSE listing rules, the Companies Act and the SEC Act and other relevant financial reporting related regulations and requirements.

Committee's Contribution towards ESG

The Committee reviewed the Company's readiness and implementation approach for the adoption of SLFRS Sustainability related disclosures (SLFRS SI and S2). The Committee evaluated the governance, processes, and controls established to support reliable sustainability-related financial disclosures and monitored progress to ensure compliance with emerging regulatory expectations and global best practices.

GOOD GOVERNANCE AND WHISTLEBLOWING

The highest standards of corporate governance and adherence to the internal policies and procedures were ensured by the Committee to establish good governance within the organisation. The requirement of establishing new policies/ procedures/and amending the existing policies/procedures in line with applicable statutory/regulatory requirements have

been identified by the Committee and processes are in place to duly comply the requirements. The Committee has reviewed 41 charters/policies and procedures during the year and has made recommendations for approval of the Board. The Committee is satisfied with the present corporate governance framework of the organisation which ensures a balance of power and authority.

The Committee ensures the Whistleblowing Policy of the Company is a current, active set of measures to which all employees/ incidents have recourse. There was no incidents reported by whistleblower/s during the year and necessary investigations and actions were implemented as per the provisions made in the whistle-blowing policy. All employees are encouraged to practice whistleblowing if they suspect any wrongdoing. Senior Management, from time to time conducts awareness programmes to encourage staff to raise genuine concerns. The Compliance Officer reports on the whistleblowing incidents confidentially to the Committee each quarter end. The Committee remains committed to follow-up on any future complaints/ incidents, should they occur. The Whistleblowing Policy has been reviewed and revised regularly with the intention of further strengthening the existing process.

TRAINING AND DEVELOPMENT OF COMMITTEE MEMBERS

The Committee remained committed to continuous training and professional development by participating in both virtual and in-person seminars, conferences, workshops, and presentations conducted by internal and external experts. These sessions covered key areas such as emerging developments, new accounting standards, tax regulations, and recent statutes and directions issued by the Central Bank of Sri Lanka.

COMMITTEE EFFECTIVENESS EVALUATION

As in the previous years, the effectiveness of the Committee was self-evaluated by its members for the year ended 31.03.2025 and the results were presented to the Board. The Committee has concluded that its performance was highly effective.

ACTION PLAN FOR 2025/26

The Board Audit Committee will focus on strengthening oversight of emerging financial, operational, and cybersecurity risks through enhanced collaboration with the Risk Management and Internal Audit functions. Key priorities include reinforcing the Internal Audit Plan to ensure comprehensive risk coverage and strategic alignment with organisational objectives. The Committee will also continue to uphold the integrity of financial reporting, remain vigilant to evolving regulatory requirements, and further enhance the clarity and transparency of its communications with the Board and stakeholders.

Ashane Jayasekara
Chairman
Board Audit Committee

30 May 2025

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT



Ashwini Natesan
Chairperson - Board Integrated Risk Management Committee

The Committee continued to play a key role in strengthening LBF's risk management framework throughout the year. By conducting structured risk assessments across all business segments and introducing proactive mitigation measures, the Committee ensured that key risks were effectively managed.

We are pleased to note that the Company's overall risk profile remains well within the risk appetite set by the Board, with an enhanced capacity to anticipate and respond to emerging risks. The Committee remains committed to continuously enhancing risk oversight to support LBF's strategic objectives and long-term resilience.

PURPOSE OF THE COMMITTEE

The Board Integrated Risk Management Committee (BIRMC) is entrusted with the responsibility of assisting the Board of Directors with oversight of the Company's enterprise-wide risk management function, ensuring the adequacy and effectiveness of the risk management framework.

COMPOSITION OF THE COMMITTEE

The BIRMC comprises of three Non-Executive Directors and is chaired by an Independent Non-Executive Director, in accordance with the Finance Business Act Direction No. 5 of 2021 on Corporate Governance issued by the Central Bank of Sri Lanka. There were no changes to the Committee's composition during the year, except for the change in Chairmanship from Mr. Ashane Jayasekara to Ms. Ashwini Natesan, effective from 1 July 2024. The Committee's membership as at 31 March 2025 is presented below, with member profiles detailed on pages 256 to 259.

Ms. Ashwini Natesan*
Chairperson
Independent Non-Executive Director

Mr. Ashane Jayasekara**
Independent Non-Executive Director

Ms. Yogadinusha Bhaskaran
Non-Executive Director

*Appointed as Chairperson w.e.f. 01/07/2024

**Chaired the Committee up to 30/06/2024

COMMITTEE MEETINGS

The Committee convened six (6) meetings throughout the reviewed year complying with the regulatory requirement. The Managing Director, Deputy Managing Director, Executive Directors and the Senior Management of LBF including AGM Risk Management, Compliance Officer, Chief Internal Auditor and Chief Financial Officer attended the meetings by invitation. AGM Risk Management functioned as the

Secretary to the Committee. Proceedings of the Committee were reported to the Board through submission of the meeting minutes. Risk profile and other specific matters were submitted separately for information of the Board. The recommendations made by the BIRMC during the year under review were duly approved by the Board. Details regarding the attendance of committee members are presented below.

Member Name	Meetings Held	Meetings Attended	Attendance Percentage
Ms. Ashwini Natesan	6	6	100%
Mr. Ashane Jayasekara	6	6	100%
Ms. Yogadinusha Bhaskaran	6	6	100%

COMMITTEE CHARTER AND RESPONSIBILITIES

A Board approved Charter is in place with clearly defined terms of reference that set out the mandate of the BIRMC in accordance with the Finance Business Act Direction no. 5 of 2021 on Corporate Governance. The Charter is reviewed annually to reflect regulatory and other developments. The BIRMC Charter was last reviewed and approved by the Board of Directors in September 2024.

The responsibilities of BIRMC as set out in the Charter are as follows:

- Establish an independent risk management function responsible for managing risk taking activities across the Company

- Develop risk appetite through a Risk Appetite Statement (RAS), which articulates the individual and aggregate level and types of risk that the Company will accept, or avoid, in order to achieve the strategic business objectives
- Review at least annually, the Company's overall risk governance structure, and the Risk Management Policy and Procedure
- Assess all material risks including credit, market, liquidity, operational, strategic, IT and information security risk of the Company at least once in two months basis through appropriate risk indicators and management information and make recommendations on the risk strategies and the risk appetite to the Board
- Review the adequacy and effectiveness of all management level committees to

address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the Committee

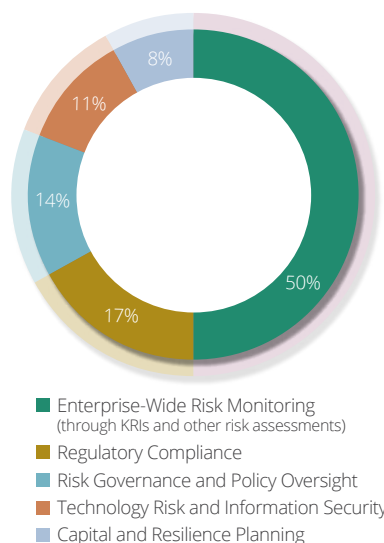
- Review any issues raised by the CBSL, external audit or internal audit that may materially impact the Company's risk management framework
- Take prompt corrective action to mitigate the effects of specific risk in the case such risks are at levels beyond the prudent levels, decided by the Board on the basis of the Company's policies and regulatory and supervisory requirements
- Assess all aspects of risk management including business continuity and disaster recovery plans
- Submit a risk assessment report to the Board meeting following the BIRMC meeting seeking the Board's view, concurrence and/or specific directions
- Oversee and review the outcomes of stress testing of the risk portfolio, including both scenario analysis and sensitivity analysis for the capital adequacy assessment process and liquidity adequacy assessment process
- Oversee the reports from management regarding the Company's insurance strategy
- Review new products/processes of the Company and recommend the proposed products/processes for the Board approval
- Oversee management processes to ensure adherence to the Company's Risk Management Policy and Procedure

The process through which the BIRMC discharges its responsibilities is detailed in the Integrated Risk Management Report in Pages 311 to 345.

COMMITTEE FOCUS DURING 2024/25

The Committee assisted the Board of Directors in discharging its responsibility on overseeing the risk management functions. During the six meetings conducted, the Committee allocated sufficient time to focus on key aspects as follows;

Committee Oversight



In discharging its responsibilities, BIRMC performed the following activities.

Credit Risk

- Conducted regular reviews of overall credit risk exposure using appropriate risk indicators, assessing mitigation strategies, and provided strategic recommendations
- Reviewed the risk appetite statement and recommended additions of new criteria and revisions to limits, to ensure the Company operates within healthy risk tolerance thresholds
- Local and global macroeconomic factors were discussed to identify their potential impact on the Company and proposed proactive actions
- The credit risk management framework was strengthened and recommended for Board approval

Liquidity and Market Risk

- Reviewed liquidity management strategies and cash flow forecasts to ensure the maintenance of adequate liquidity buffers

- Reviewed stress testing results on liquidity risk to assess the adequacy of liquidity reserves under stressed scenarios
- Continuously monitored gold price movements to assess the adequacy of the loan-to-value ratio and the distribution of the Gold Loan portfolio
- Reviewed the asset and liability management and liquidity risk management framework and recommended them for Board approval
- Oversight of functions of Asset and Liability Management Committee (ALCO) through reviewing minutes of ALCO meetings and recommending ALCO Charter for approval of the Board
- Reviewed the movement of macroeconomic factors and assessed the sensitivity of net interest income to interest rate changes

Operational Risk

- Reviewed fraud risk assessments as a key component in promoting a strong organisational culture
- Reviewed Risk and Control Self-Assessments (RCSAs) to evaluate the effectiveness of internal controls and identify key operational risks across business units
- The operational risk management framework was reviewed and recommended for Board approval
- Oversight of the functions of the Operational Risk Management Committee (ORMC) through review of ORMC meeting minutes and recommending the ORMC Charter for Board approval
- Reviewed outsourcing risk assessments to ensure adequacy of controls and regulatory compliance

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

IT and Information Security Risk

- Reviewed progress on the implementation of technology security controls in line with Regulatory Direction No. 1 of 2022
- Monitored progress and recommended actions to strengthen controls in preparation for compliance with the proposed Personal Data Protection Act No. 9 of 2022
- Reviewed critical system availability reports to ensure IT service continuity and operational resilience

Capital Adequacy

- Reviewed the Internal Capital Adequacy Assessment Process (ICAAP) report, a voluntarily adopted practice, and recommended it for Board approval
- Reviewed stress testing results to ensure the Company's ability to maintain solvency under adverse scenarios

Other Risk Related Activities

- Assessed the effectiveness and adequacy of Management-level Committees
- Reviewed risk exposures of the Company's subsidiary
- Reviewed the risk register to evaluate management's commitment to mitigating open risks
- Reviewed risk assessments of new products prior to launch to ensure alignment with the risk appetite and regulatory standards
- Reviewed and recommended the risk management framework for models for the approval of the Board to establish a governance structure for management of model risk

Compliance Function

- Monitored the implementation of new rules and regulations issued by regulatory authorities
- Conducted monthly reviews of compliance checklist to ensure the Company and its subsidiary remained compliant with regulatory requirements
- Reviewed Anti-Money Laundering (AML) and Countering the Financing of Terrorism (CFT) reports on a quarterly basis
- Reviewed the annual risk assessment of Money Laundering and Terrorist Financing (ML and TF) risks across customers, products, processes, and the overall Company

ACTION PLAN FOR 2025/26

BIRMC will focus on improving risk appetite monitoring and enhancing oversight of data privacy and cybersecurity. The Committee will also review emerging and strategic risks more closely. Promoting the effectiveness of risk management governance structures will remain a key priority supporting a strong organisational risk culture. BIRMC will continue to remain vigilant in view of the dynamic risk landscape and will consider the use of advanced tools and techniques to assess, monitor and mitigate risks across all operations of LBF.



Ashwini Natesan

Chairperson
Board Integrated Risk Management
Committee

30 May 2025

BOARD NOMINATION AND GOVERNANCE COMMITTEE REPORT



Ashane Jayasekara

Chairman - Board Nomination and Governance Committee

The Committee focuses on Board and Senior Management appointments, succession planning, and governance enhancements. Key actions include performance evaluations, regulatory compliance reviews, and updates to the Board Skills Matrix and governance policies. The Committee promote diversity, director development, and ethical leadership.

COMMITTEE MEETINGS

The Committee met seven (07) times during the year. Attendance of the members was as follows:

Member Name	Meetings Held	Meetings Attended	Attendance Percentage
Mr. Ashane Jayasekera	7	7	100%
Mr. G A R D Prasanna	7	7	100%
Ms. Ashwini Natesan	7	7	100%

The Company Secretary acts as the secretary to the Committee.

PURPOSE OF THE COMMITTEE

The Board Nomination and Governance Committee (BNGC) responsible for overseeing the nomination process for Board and Senior Management positions, monitoring corporate governance practices, and ensuring that the Board remains effective, diverse, and fit for purpose.

COMPOSITION OF THE COMMITTEE

As of 31 March 2025, the Committee comprised the following members:

Mr. Ashane Jayasekara

Chairman

Independent Non-Executive Director

Mr. G A R D Prasanna

Non-Executive Director

Ms. Ashwini Natesan

Independent Non-Executive Director

The composition of the Committee complies with all relevant corporate governance regulations and best practices, ensuring a majority of Independent Directors.

KEY RESPONSIBILITIES

The primary responsibilities of the Committee include:

- Recommending candidates for appointment or reappointment to the Board and Senior Management roles
- Reviewing Board and Committee structure, size, and composition
- Assessing the independence and performance of Directors
- Leading succession planning efforts
- Overseeing corporate governance practices and reviewing the Company's Governance Framework.
- Monitoring Director training and continuing education initiatives.

COMMITTEE FOCUS DURING 2024/25

During the year under review, the Committee:

- Reviewed and recommended the appointment of the Company Secretary, Chief Digital Officer, Chief Transformation Officer, two (02) new Independent Directors and extension of tenure of a Non-Executive Director, ensuring alignment with the Company's diversity and skill matrix
- Oversaw the reappointment of Directors retiring by rotation, following performance assessments and declarations of independence
- Conducted the annual Board and its Sub Committee performance evaluations, using a combination of self-assessments and peer reviews
- Reviewed and updated the Board Skills Matrix to ensure alignment with strategic priorities
- Monitored compliance with applicable governance regulations, including Best Practices on Corporate Governance 2023, Finance Business Act Direction No.5 of 2021, Companies Act No 07 of 2007, Listing Rules of Colombo Stock Exchange
- Provided guidance on succession planning, particularly for key Senior Management Positions
- Recommended enhancements to the Code of Conduct, Board Diversity Policy, and Nomination Policy

GOVERNANCE ENHANCEMENTS

The Committee took active steps to:

- Strengthen Board diversity in terms of skills, experience, and gender representation
- Encourage Director engagement in training and development sessions on topics such as ESG, cybersecurity, and regulatory updates
- Benchmark governance practices against industry peers and global standards

ACTION PLAN FOR 2025/26

The Committee reaffirms its commitment to promoting effective Board composition, ethical leadership, and robust corporate governance practices. Going forward, the Committee will continue to work closely with the Board and management to ensure that governance frameworks support the Company's long-term success and stakeholder interests.

Ashane Jayasekara

Chairman

Board Nomination and Governance Committee

30 May 2025

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

GRI: 2-20



Yanika Amarasekera

Chairperson - Board Human Resources and Remuneration Committee

The Human Resources and Remuneration Committee remains committed to fostering a performance-driven, fair, and inclusive work culture, where talent is recognised and rewarded in alignment with LBF's strategic objectives. Guided by principles of transparency, equity, and accountability, the Committee ensures that remuneration frameworks support long-term value creation and attract, retain, and motivate high-calibre individuals.

- Providing oversight of leadership development, succession planning, and employee engagement
- Reviewing Diversity, Equity, and Inclusion (DEI) initiatives and workplace culture

PURPOSE OF THE COMMITTEE

The Board Human Resources and Remuneration Committee (BHRRC) is responsible for guiding and overseeing the Company's human capital strategy, including remuneration policies, executive performance evaluation, talent development, and organisational culture.

COMPOSITION OF THE COMMITTEE

As of 31 March 2025, the Committee comprised the following members:

Ms. Yanika Amarasekera*

Chairperson
Independent Non-Executive Director

Mr. G A R D Prasanna

Non-Executive Director

Mr. Ashane Jayasekara**

Independent Non-Executive Director

*Appointed as Chairperson w.e.f. 11/06/2024

**Chaired the Committee up to 10/06/2024

All members bring substantial experience in leadership, governance, and human resources oversight. The composition of the Committee adheres to applicable corporate governance standards and regulatory requirements.

KEY RESPONSIBILITIES

The Committee is responsible for:

- Reviewing and recommending compensation packages for Executive Directors and Senior Management
- Overseeing short-term and long-term incentive schemes aligned with Company strategy and shareholder value creation.
- Monitoring performance evaluation frameworks for key executives
- Ensuring a competitive and equitable remuneration structure across the organisation

COMMITTEE MEETINGS

The Committee met five (05) times during the financial year. The attendance of each member is outlined below:

Member Name	Meetings Held	Meetings Attended	Attendance Percentage
Ms. Yanika Amarasekera	5	5	100%
Mr. G A R D Prasanna	5	5	100%
Mr. Ashane Jayasekara	5	5	100%

The Company Secretary acts as the secretary to the Committee.

COMMITTEE FOCUS DURING 2024/25

During the year under review, the Committee:

- Approved the annual and variable remuneration packages for the CEO and Key Management Personnel based on predefined performance metrics
- Reviewed and realigned the executive compensation structure to enhance the link between pay and long-term performance
- Discussed long-term incentive plans
- Oversaw the annual performance appraisal process for KMPs, with a focus on strategy execution, ESG targets, and leadership behaviour
- Reviewed the Company's HR Policies, ensuring alignment with current regulations and best practices
- Evaluated and supported Company wide efforts to strengthen the talent pipeline, particularly in critical business areas
- Reviewed and monitored succession planning for key roles, including readiness assessments and leadership development initiatives
- Promoted the enhancement of workplace diversity and inclusion, with special focus on gender representation in leadership

KEY DECISIONS AND POLICY UPDATES

- Adopted a revised Remuneration Policy, which introduces clearer links between performance and variable pay components
- Updated the Succession Planning Policy to include emergency succession plans for executive leadership
- Endorsed the launch of a leadership acceleration programme aimed at developing high potential talent for future leadership roles

ACTION PLAN FOR 2025/26

The Committee remains committed to fostering a performance-driven and inclusive culture by ensuring fair, transparent, and competitive remuneration practices. It will continue to support leadership development, talent retention, and human capital strategies aligned with the Company's long-term goals and stakeholder expectations.

Yanika Amarasekera
Chairperson
Board Human Resources and Remuneration Committee

30 May 2025

BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT



Mr. Piyal Hennayake
Chairman - Board Related Party
Transactions Review Committee

The Related Party Transactions Review Committee remains resolute in its mandate to ensure that all transactions with related parties are conducted transparently, fairly, and in the best interests of LBF and its stakeholders. The Committee operates with strict adherence to corporate governance principles and regulatory compliance, ensuring that potential conflicts of interest are identified, assessed, and appropriately managed.

COMMITTEE MEETINGS

During the financial year, the Committee held five (05) meetings. The attendance record of the members is as follows:

Member Name	Eligible Meetings	Meetings Attended	Attendance Percentage
Mr. Piyal Hennayake	1	1	100%
Mr. Priyantha Talwatte	1	1	100%
Mr. Dharmadasa Rangalle	5	5	100%
Mr. Ashane Jayasekera	4	4	100%
Ms. Ashwini Natesan	4	4	100%

PURPOSE OF THE COMMITTEE

The Board Related Party Transactions Review Committee (BRPTRC) has been established to ensure that related party transactions (RPTs) are conducted in a manner that is transparent, fair, and in the best interests of the Company and its shareholders.

COMPOSITION OF THE COMMITTEE

As of 31 March 2025, the Committee comprised the following members:

Mr. Piyal Hennayake *+
Chairman
Independent Non-Executive Director

Mr. Priyantha Talwatte +
Independent Non-Executive Director

Mr. Dharmadasa Rangalle
Non-Executive Director

*Appointed as Chairman w.e.f.
22 January 2025

+Appointed to the Committee w.e.f.
22 January 2025

Independent Non-Executive Director, Mr. Ashane Jayasekera ceased to be a member of the Committee on 09 January 2025. Independent Non-Executive Director, Ms. Aswini Natesan stepped down from the Chairmanship and ceased to be a member of the committee on 22 January 2025.

All members have the requisite financial and legal expertise, and the composition complies with applicable regulatory requirements.

COMMITTEE RESPONSIBILITIES

The Committee is primarily responsible for:

- Reviewing and approving or recommending for Board approval all RPTs and recurrent RPTs
- Ensuring compliance with relevant laws, regulations, and internal policies
- Overseeing disclosures of RPTs in the financial statements and Annual Report

SUMMARY OF ACTIVITIES

During the financial year under review, the Committee:

- The Committee reviewed all non-recurrent and recurrent RPTs during the year under review, made recommendations and communicated its observations to the Board.
- Ensured that all transactions were at arm's length and on normal commercial terms
- Reviewed and updated the Related Party Transactions Policy to reflect latest regulatory changes
- Monitored compliance with the Company's Code of Conduct and RPT Policy
- Provided oversight on disclosures of RPTs in interim and annual financial reports
- A monthly report is forwarded to the Board of Directors and any significant matter will be discussed at Committee meetings prior to the same being forwarded to the Board of Directors

KEY OBSERVATIONS

- All RPTs reviewed during the year were found to be in the ordinary course of business and on arm's length terms
- No material RPTs were reported that required shareholder approval or special disclosure beyond regular reporting
- There were no conflicts of interest or instances of non-compliance observed in relation to RPTs

ACTION PLAN FOR 2025/26

The Committee remains committed to upholding the highest standards of corporate governance and transparency in dealing with related party transactions.

Piyal Hennayake
Chairman (up to 22 April 2025)
Board Related Party
Transactions Review Committee
30 May 2025

BOARD INFORMATION SECURITY COMMITTEE REPORT



Ashwini Natesan

Chairperson
- Board Information Security Committee

In today's digitally driven financial landscape, safeguarding our systems, data, and customer information is critical to ensuring operational resilience and maintaining stakeholder trust. Throughout the year, the Committee exercised active oversight of the Company's information security and cybersecurity framework, working closely with the management to assess emerging risks, strengthen defenses, and enhance overall readiness.

As cyber threats continue to grow in scale and sophistication, we remain confident that our multi-layered security strategy, underpinned by ongoing investment in people, processes, and technology, places the Company in a strong position to safeguard stakeholder interests and reinforce long-term trust.

PURPOSE OF THE COMMITTEE

The Board Information Security Committee is established to provide strategic oversight of the Company's information and cybersecurity framework and practices. The committee plays a critical role in guiding the organisation's efforts to protect its digital assets, manage cyber risks, and ensure regulatory compliance in an increasingly complex threat environment.

By maintaining a clear focus on confidentiality, integrity, and availability of information, the Committee helps protect stakeholder trust and supports the Company's long-term resilience.

COMPOSITION OF THE COMMITTEE

The Committee comprises two Independent Non-Executive Directors and one Executive Director, all of whom bring recent, and relevant experience in information technology, cybersecurity, and risk management. The Board is confident in the Committee's collective expertise. Member profiles can be found on pages 256 to 259.

Ms. Ashwini Natesan

Chairperson
Independent Non-Executive Director

Mr. Ashane Jayasekara

Independent Non-executive Director

Mr. B D A Perera

Executive Director

COMMITTEE CHARTER AND RESPONSIBILITIES

The Board Information Security Committee was formed by the Board of Directors as voluntary adoption to strengthen the Information Technology and Information Security risk governance by the provisions of the Finance Business Act Direction No.01 of 2022 on Technology Risk Management and Resilience. The Charter sets out the Committee's mandate to oversee the effectiveness of the Company's cybersecurity, data privacy, and technology risk management frameworks, amongst others. The Charter is reviewed periodically to remain relevant and aligned with regulatory expectations and best practices.

The key responsibilities of the Committee include the following.

- Reviewing and recommending the Information Security Policy and related procedures to the Board and evaluating the effectiveness of their implementation
- Monitoring emerging cyber threats and vulnerabilities to ensure timely and effective mitigation measures
- Providing oversight of the information security management programme and ensuring its alignment with organisational goals and compliance requirements
- Reviewing the status of major security incidents, and evaluating findings from security assessments, audits, and monitoring activities

COMMITTEE MEETINGS

During the financial year, the Board Information Security Committee convened four (04) meetings, demonstrating its ongoing commitment to strong oversight of the Company's information and cybersecurity governance. The attendance record of the meetings is as follows.

Member Name	Meetings Held	Meetings Attended	Attendance Percentage
Ms. Ashwini Natesan	4	4	100%
Mr. Ashane Jayasekara	4	4	100%
Mr. B D A Perera	4	4	100%

The Deputy Managing Director and senior members of management including the Chief Information Officer, Chief Information Security Officer, AGM Risk Management, Chief Internal Auditor, Chief Financial Officer, Compliance Officer, Head of ERP and Business Analysis and Head of Network, Security, Infrastructure and Operations

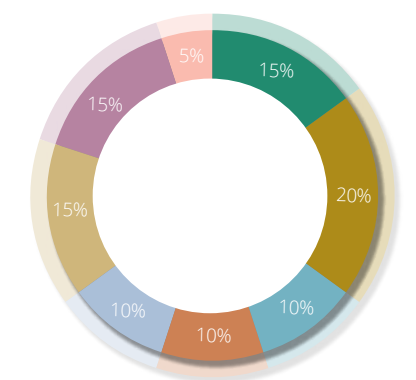
attended the meetings by invitation to support informed discussions. Members of the information technology and security teams were also invited, as required. The Company Secretary served as the Secretary to the Committee, ensuring all governance protocols were properly followed.

- Assessing the reach and effectiveness of information security awareness programmes to foster a culture of shared responsibility and risk awareness
- Overseeing data privacy governance, including policies and practices for the collection, processing, storage, and sharing of personal data, to ensure alignment with applicable data protection laws and internal standards
- Monitoring data breach readiness and the Company's ability to respond effectively to privacy-related incidents
- Evaluating the technology and information security risk register, including risk tolerance levels and criteria for accepting or escalating risks
- Reviewing the security and risk implications of key technology infrastructure projects, including cloud adoption and digital platforms, to ensure appropriate controls are in place

COMMITTEE FOCUS DURING 2024/25

The Committee ensured that sufficient time and attention were dedicated to key aspects of information security, data privacy, and technology risk management throughout the financial year, reflecting its commitment to proactive and effective oversight.

Committee Oversight



- Enterprise Wide Cyber Health Indicators
- Security Assessments/incidents and Resolutions
- New Technology/security Initiatives
- Security Awareness Training
- Regulatory Compliance Status
- Technology Risk Register
- Personal Data Protection Act Readiness
- Technology Audit Findings

The following key initiatives and actions were undertaken at the Committee meetings convened during the year:

- Assessed enterprise-wide cyber health indicators, including threat trends, response capabilities, and control effectiveness
- Reviewed reported cybersecurity incidents and monitored the resolution of vulnerabilities to ensure timely risk mitigation
- Reviewed findings from independent security assessments and red team exercises and monitored the implementation of corresponding remediation plans
- Oversaw the rollout of new cybersecurity initiatives, including enhancements to threat detection, endpoint protection, and network security
- Monitored regulatory compliance with the Technology Risk Management and Resilience Direction No. 01 of 2022 issued by the Central Bank of Sri Lanka
- Reviewed the enterprise technology and cybersecurity risk register to ensure risks were accurately identified, assessed, and managed within defined tolerance levels
- Tracked remediation progress of audit findings and internal control deficiencies related to IT and cybersecurity functions
- Evaluated the reach and effectiveness of ongoing security awareness and phishing simulation programmes across the organisation
- Reviewed updates on the Company's external threat exposure through attack surface management exercises and associated risk-reduction measures
- Provided oversight on digital transformation initiatives, with specific focus on ensuring built-in safeguards for information security and data privacy
- Monitored the Company's readiness and implementation roadmap for compliance with the Personal Data Protection Act No. 9 of 2022, including governance structures and data handling practices

ACTION PLAN FOR 2025/26

As cyber threats continue to grow in complexity and sophistication, the Committee remains committed to evolving its oversight approach. We will continue to encourage innovation in security practices, and ensure that security is embedded as a strategic enabler beyond regulatory compliance. Our focus is on fostering a culture of vigilance, resilience, and accountability that supports sustainable value creation for all stakeholders.

Ms. Ashwini Natesan
Chairperson
Board Information Security Committee

30 May 2025

BOARD SUSTAINABILITY COMMITTEE REPORT



Yanika Amarasekara

Chairperson - Board Sustainability Committee

This year, we enhanced our ESG commitment with the introduction of an ESG Policy, including the development of a Climate Policy and the introduction of sustainability-related KPIs to embed accountability and transparency.

We strengthened our alignment with both national and international sustainability frameworks, ensuring consistency with evolving global best practices. The Committee remains focused on driving strategic oversight and ensuring that sustainability is at the heart of our long-term value creation.

PURPOSE OF THE COMMITTEE

The Board Sustainability Committee plays a pivotal role in embedding sustainability within LBF's long-term value creation strategy. Its core purpose is to provide strategic oversight and guidance on the Company's Environmental, Social, and Governance (ESG) commitments. This includes overseeing the development of the company's ESG strategy and recommending it for Board approval, as well as monitoring its execution and approving implementation projects.

COMPOSITION OF THE COMMITTEE

Ms. Yanika Amarasekera

Chairperson

Independent Non-Executive Director

Mr. G A R D Prasanna

Non- Independent Non-Executive Director

Mr. Niroshan Udage

Deputy Managing Director

Ms. Ashwini Natesan

Independent Non-Executive Director

Mr. Piyal Hennayake

Independent Non-Executive Director

COMMITTEE MEETINGS

The Committee conducted its first meeting for the year on 27 June 2024. The central focus of this meeting was the tabling and approval of the Company's Sustainability Agenda for 2024/25, which outlined planned activities, their strategic purposes, and implementation timelines. This agenda was informed by globally recognised frameworks, including the GRI Standards and the United Nations Sustainable Development Goals (UN SDGs).

To ensure cross-functional collaboration, members of the Sustainability Management Committee were also in attendance, contributing valuable operational insights and fostering alignment between strategic oversight and execution. The decisions taken at the Board level are operationalised through this Management Committee, enabling a streamlined, accountable implementation structure. The Company Secretary functioned as the official secretary to the Committee, ensuring that rigorous documentation and governance protocols were maintained.

INTERNAL GOVERNANCE FRAMEWORK

As part of our internal governance framework, the Board Sustainability Committee operate in accordance with established Terms of Reference, which clearly define their respective roles, responsibilities, and reporting lines.

EXTERNAL GOVERNANCE FRAMEWORK

Our external governance framework encompasses Section 9 of the Colombo Stock Exchange Listing Rules, which mandates the establishment of an ESG policy, along with adherence to both voluntary and mandatory sustainability reporting frameworks that guide our transparency, accountability, and stakeholder engagement practices.

COMMITTEE RESPONSIBILITIES

The key responsibilities of the Board Sustainability Committee include the following:

- Oversee development of the company's ESG strategy and recommend it for Board approval
- Monitor execution of the ESG strategy and approve implementation projects
- Recommend strategic ESG goals, short- and long-term targets, and key performance metrics
- Review ESG content in the annual report, sustainability report, and other applicable mandatory/voluntary disclosures

Attendance details of the Committee members are provided below.

Member Name	Meetings Held	Meetings Attended	Attendance Percentage
Ms. Yanika Amarasekera	4	4	100%
Mr. G A R D Prasanna	4	4	100%
Mr. Niroshan Udage	4	4	100%
Ms. Ashwini Natesan	4	4	100%
Mr. Piyal Hennayake*	4	2	100%

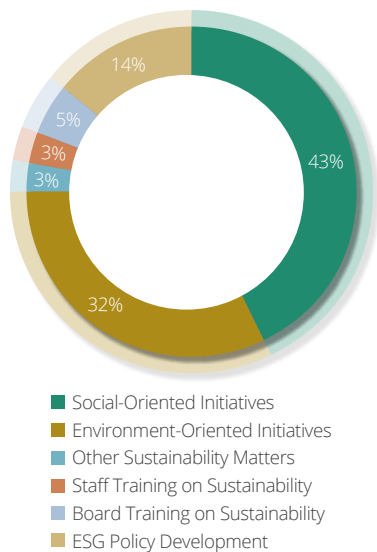
*Eligible only for two meetings

- Assess the need for internal/external assurance and oversee related appointments and evaluations
- Advise on ESG-related risks and opportunities impacting operations and reputation
- Monitor establishment and effectiveness of ESG-related policies, codes of conduct, and procedures
- Support the Board in monitoring organisational culture, employee well-being, and human rights risks across the supply chain

COMMITTEE FOCUS IN 2024/25

During the financial year 2024/25, the Board Sustainability Committee functioned with a strong sense of purpose and strategic alignment, effectively guiding LBF's ESG agenda. The Committee demonstrated robust governance, actively overseeing the development and execution of key sustainability initiatives in line with both local and international standards. Regular engagement with management and external stakeholders helped ensure that sustainability remained a central pillar of corporate strategy. The Committee also maintained a high level of accountability, transparency, and responsiveness to emerging ESG risks and opportunities, contributing to the organisation's long-term sustainable success.

Committee Oversight



Activities During the Year

- The financial year 2024/25 was a landmark period for LBF in terms of sustainability, marking significant strides in both internal initiatives and external collaborations. The Company prioritised high-impact CSR initiatives that simultaneously benefited the environment and empowered local communities
- Internally, LBF launched the "LB Team Sustainability" initiative, an all-volunteer task force comprising staff from branch network across Sri Lanka. This dedicated team played a pivotal role in planning and executing CSR activities, ensuring greater employee participation and deeper community engagement
- A key highlight of the year was LBF's collaboration with several prominent government institutions. The Company signed Memorandums of Understanding (MoUs) with the National Aquatic Resources Research and Development Agency (NARA), Marine Environment Protection Authority (MEPA), University of Sri Jayewardenepura (USJ), and the National Enterprise Development Authority (NEDA). These partnerships expanded LBF's sustainability reach, enabling a broader and more meaningful impact on both society and the environment
- Reinforcing its commitment to global sustainability standards, LBF became a member of the UN Global Compact Network Sri Lanka during the year. Through this membership, the Company reaffirmed its commitment to the Ten Principles covering human rights, labour rights, environmental responsibility, and anti-corruption
- A major milestone during the year was the adoption of SLFRS S1 and S2 standards on sustainability-related financial disclosures, followed by a limited assurance engagement, underscoring LBF's commitment to transparency and accountability in sustainability reporting

- Further, to strengthen its governance structure around sustainability, the Company revised its existing ESG policy and introduced a comprehensive Climate Policy. Furthermore, UN SDG-related Key Performance Indicators (KPIs) were set, enabling the organisation to track progress and deliver results aligned with its strategic goals
- Finally, to enhance the strategic oversight of sustainability, four board-level training sessions were conducted during the year. These sessions provided Board members with vital knowledge and competencies to champion sustainability at the highest level

ESG COMPLIANCE

During the financial year 2024/25, the Board Sustainability Committee remained fully compliant with its ESG oversight responsibilities, as outlined in its Terms of Reference. The Committee provided strategic direction and governance for key sustainability initiatives, ensuring alignment with internal policies, national priorities, and international standards. Through active monitoring and review of LBF's evolving ESG strategy, including the revision of the ESG policy, development of a Climate Policy, adoption of SLFRS S1 and S2, and implementation of UN SDG-aligned KPIs, the Committee ensured that sustainability considerations were embedded across operations. Additionally, the Committee supported the Company's decision to join the UN Global Compact Network Sri Lanka and facilitated enhanced Board-level engagement through targeted ESG training sessions, reinforcing its commitment to responsible, transparent, and forward-looking business practices.

BOARD SUSTAINABILITY COMMITTEE REPORT

ACTION PLAN FOR 2025/26

In line with our long-term commitment to responsible business and sustainable value creation, LBF has outlined the following key priorities to guide our ESG efforts for the financial year 2025/26:

- Enhance ESG Governance – Strengthen governance structures, regularly update the Terms of Reference, and continue ESG capacity building at the Board level to support effective oversight
- Advance Climate Action – Implement Phase 2 of the Climate Policy, including carbon footprint assessments and renewable energy projects, with alignment to science based targets and a net-zero plan
- Expand Social Impact – Scale up the “LB Team Sustainability” initiative and community programmes focused on education, empowerment, and livelihood support
- Improve ESG Transparency – Enhance ESG data management, disclosures in line with local/global frameworks, and third-party assurance for better transparency
- Strengthen Risk Management – Integrate ESG risks into the Enterprise Risk Management framework and form strategic partnerships to boost sustainability impact, aligning with science based targets and net-zero goals



Ms. Yanika Amarasekara
Chairperson
Board Sustainability Committee

30 May 2025

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The following statement sets out responsibility of the Directors in relation to the Financial Statements of the Company and its Subsidiaries prepared in accordance with the provisions of the Companies Act No. 07 of 2007.

The responsibility of the Independent Auditor in relation to the Financial Statements is set out in the Report of the Auditors given on pages 351 to 354 of the Annual Report.

As per the provisions of sections 151, 153 (1) and (2), 150 (1) and 152 (1) of the Companies Act No. 07 of 2007, the Directors are required to prepare Financial Statements for each financial year, which should give a true and fair view of the state of affairs of the Company and its Subsidiaries as at the reporting date and its profit or loss for the financial year then ended, ensure that they are completed within six months or such extended period as may be determined by the Registrar General of Companies, certified by the person responsible for the preparation of the Financial Statements that it is in compliance with the said Companies Act and dated and signed on behalf of the Board by two Directors of the Company.

In terms of section 166 (1) read together with sections 168 (1) (b) and (c) and section 167 (1) of the Companies Act, the Directors shall cause a copy of the aforesaid Financial Statements together with the Annual Report of the Board of Directors of the Company prepared as per section 166 (1) of the Companies Act to be sent to every shareholder not less than fifteen working days before the date fixed for holding the Annual General Meeting. However, under the prevailing situation of the country and the non-availability of paper and related items, the above obligation is discharged by the Directors by making available a copy of the Annual Report on the Company's official website and the Colombo Stock Exchange website in terms of Rule 7.5 (b) of the listing rules of the CSE. As per said rule, printed copies of the Annual Report will be made available to shareholders on request.

In preparing the Financial Statements, the Directors are responsible to ensure that appropriate accounting policies have been selected and applied consistently, reasonable and prudent judgments and estimates have been made and all applicable accounting standards have been complied with.

The Directors are also required to ensure that the Company and its Subsidiaries have adequate resources to continue in operation to justify applying the going concern basis in preparing these Financial Statements.

Further, the Directors have a responsibility to ensure that the Companies within the Group maintain sufficient accounting records to disclose with reasonable accuracy, the financial position of the Company and the Subsidiaries.

Financial Statements prepared and presented in this report have been prepared based on Sri Lanka Accounting Standards (SLFRSs/LKASs) and are consistent with the underlying books of accounts and are in conformity with the requirements of Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, directions and guidelines issued under the Finance Business Act No. 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.

The Directors have also instituted effective and comprehensive systems of internal control for identifying, recording, evaluating and managing the significant risks faced by the Company throughout the year, which is primarily handled through the Audit Committee and the Integrated Risk Management Committee as set out in their Reports that appear on pages 289 to 293 and 294 to 296 respectively.

The Directors have taken appropriate steps to ensure that the Company and its Subsidiaries maintain proper books of accounts and the financial reporting system is directly reviewed by the Directors at their regular meetings and also through the Board Audit Committee.

The Board of Directors also approves the Interim Financial Statements prior to their release following a review and recommendation by the Board Audit Committee.

The Board of Directors accepts responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report.

The Financial Statements of the Company and the Subsidiaries have been certified by the Chief Financial Officer of the Company, the officer responsible for their preparation as required by section 152 (1) (b) and they have also been signed by two Directors of the Company as required by section 152 (1) (c) of the Companies Act.

The Directors to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company and the Subsidiaries as at the reporting date have been paid or where relevant, provided for.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board
LB Finance PLC

Tharanga Nandasena
Company Secretary

30 May 2025

DIRECTORS' STATEMENT ON INTERNAL CONTROL

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Responsibility

In line with the section 16 (1) (ix) of the Finance Business Act Direction No. 05 of 2021 Corporate Governance, and Principle D.1.5 of the Code of Best Practice on Corporate Governance 2023 issued by Institute of Chartered Accountants of Sri Lanka, the Board of Directors ("Board") of LBF ("Company") presents this report on internal control over financial reporting.

The Board has overall responsibility for ensuring the adequacy and effectiveness of internal control over financial reporting of the Company. The system of internal controls is primarily designed to manage the Company's key areas of risk within an acceptable risk profile, rather than to eliminate the risk of failing to achieve the policies and business objectives. However, it is important to note that the system of internal controls stipulated can provide reasonable, but not absolute assurance against material misstatement of financial information, records, or against financial losses and frauds.

In light of the above, the Board has established a continuous process of identifying, evaluating and managing the significant risks faced by the Company. This includes enhancing the system of internal control over financial reporting, especially when there are changes to the business environment or regulatory guidelines. The Board regularly reviews this process by assessing key processes related risks against the compensating controls that may affect significant accounts of the Company.

The management is tasked with assisting the Board in the implementation of the policies and procedures related to risks and controls. This includes identifying and assessing the risks faced by the Company as well as providing inputs on design, operation and monitoring of internal controls over financial reporting to mitigate and control these risks.

The Board is confident that the system of internal control over financial reporting is adequate to provide reasonable assurance regarding the reliability of financial reporting. This ensures that the preparation of the financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

Key Features of the Process Adopted in Applying and Reviewing the Design and Effectiveness of the Internal Control System Over Financial Reporting

The Company has established a comprehensive process for reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting which include the following key features:

- The Board has established specialised Sub-committees to assist in ensuring the effectiveness of the Company's day-to-day operations in line with the corporate objectives, strategies, annual budget as well as the approved policies and business directions
- Policies, Charters, Procedures are in place covering functional areas of the Company, recommended by the Board appointed Committees, and are approved by the Board. All Policies, Charters and Procedures are regularly reviewed and approved by the Board. Respective Board sub-committees follow up the regular reviews of Policies, Charters, and Procedures through the Compliance Officer to ensure timely updates
- The Internal Audit Department of the Company monitors compliance with Policies and Procedures, and their suitability of design and effectiveness on an ongoing basis. Statistical verification procedures are used, and significant findings of non-compliance are highlighted. The risk-based annual audit plan is reviewed and approved by the Board Audit Committee, branches and service departments are audited to provide independent and objective assurance on operations and performance. Various initiatives have been taken by Internal Audit Department, business teams and other monitoring authorities of the Company to review the exceptions on certain selected areas of the business through the usage of exception monitoring automated tools. The process has been gradually expanded year after year to cover an expanded scope
- Information systems and its surrounding technology infrastructure which support financial reporting are independently assessed by specialised information systems audit teams to ensure confidentiality, integrity and availability triad is preserved to reinforce the confidence level of the data processing technology facilities
- The scope, quality and reports of internal audits are reviewed by the Board Audit Committee at its monthly meetings and suggestions for improvements are made wherever necessary
- Overall, the Board Audit Committee of the Company reviews internal control issues identified by the Internal Audit Department, the External Auditor, regulatory authorities and the management, and evaluates the adequacy and effectiveness of the risk management and internal control systems
- A process has been set up to continuously monitor the internal control system over financial reporting to mitigate the risk on misrepresentation of financial reporting. The respective process owners of the Company continuously review and update all procedures and controls connected with significant accounts and disclosures of the financial statements of the Company. The Risk Management Department verifies the suitability of design and effectiveness of these procedures and controls on an ongoing basis, and the Internal Audit Department reviews the compliance and apprises the Board Audit Committee where necessary
- The Company adopts Sri Lanka Accounting Standards comprising LKAS and SLFRS and progressive improvements are made to its processes

to comply with requirements of recognition, measurement, classification and disclosure. Financial reporting and management information processes will be further strengthened by constant monitoring and adaptation to market realities. The Company reviewed the existing models in use to ascertain the potential implications and these models are regularly reviewed and validated through independent industry experts to ensure effective financial representation. The recommendations made by the External Auditors in the financial year ended 31 March 2025 in connection with the Internal Control Systems over Financial Reporting will be addressed in future

Confirmation

Based on the above processes, the Board affirms that the financial reporting system of the Company has been designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and the regulatory requirements of the Central Bank of Sri Lanka.

Review of the Statement by External Auditor

The External Auditor, Messers KPMG Sri Lanka, has reviewed the above Directors' Statement on Internal Control over Financial Reporting and report is included in the Company's Annual Report for the year ended 31 March 2025. They have reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of internal controls over financial reporting of the Company. Their report on the statement of internal control over financial reporting is given on pages 308 to 309 of this Annual Report.

STATEMENT ON PRUDENTIAL REQUIREMENTS, REGULATIONS AND LAWS

The Board of LBF presents this report on compliance with prudential requirements, regulations and laws, in compliance with Section 16 (1) (ix) of the Finance Business Act Direction No. 05 of 2021 Corporate Governance

- The Board has implemented sufficient internal controls to ensure adherence to statutory and regulatory obligations. The Board affirms that the Company complies with all relevant prudential requirements, regulations, and laws.
- The Board confirms that there are no significant regulatory and supervisory concerns or lapses in the Company's risk management, or non-compliance with the Act, Rules and Directions.

By order of the Board,

Ashane Jayasekara
Chairman
Board Audit Committee

Sumith Adhihetty
Managing Director

30 May 2025

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel +94 - 11 542 6426
Fax +94 - 11 244 5872
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Internet www.kpmg.com/lk

ASSURANCE REPORT ON THE DIRECTOR'S STATEMENT ON INTERNAL CONTROL

THE BOARD OF DIRECTORS OF LB FINANCE PLC.

Report on the Directors' Statement on Internal Control

We were engaged by the Board of Directors of LB Finance PLC ("the company") to provide assurance on the Director's Statement on Internal Control ("Statement") included in the annual report for the year ended 31st March 2025.

Management's responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of License Company on the Director's Statement on Internal Control" issued in compliance with the section (16) (1) (ix) of the Finance Business Act Direction No. 05 of 2021 by the Central Bank of Sri Lanka on Corporate Governance.

Our Independence and Quality Control

We have complied with the independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding professional compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our Responsibilities

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Company.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements SLSAE 3051, Assurance Report for Licensed Finance companies and Finance Leasing companies on Directors' Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This standard requires that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purposes of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed and audit or review of the financial information.

Summary of work performed

Our engagement has been conducted to assess whether the Statement is both supported by the documentation prepared by or for the Directors and appropriately reflects the process the Directors have adopted in reviewing the system of internal control for the Company.

To achieve this objective, appropriate evidence has been obtained by performing the following procedures:

- Enquired the Directors to obtain an understanding of the process defined by the Board of Directors for their review of the design and effectiveness of internal control and compared their understanding to the Statement made by the Directors in the annual report.
- Reviewed the documentation prepared by the Directors to support their Statement made.
- Related the Statement made by the Directors to our knowledge of the Company obtained during the audit of the financial statements.
- Reviewed the minutes of the meetings of the Board of Directors and of relevant Board Committees.
- Attended meetings of the Audit Committee at which the annual report, including the Statement on Internal Control is considered and approved for submission to the Board of Directors.

KPMG, a Sri Lankan partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. All rights reserved.

C.P. Jayatilake FCA
Ms. S. Joseph FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel FCA
Ms. P.M.K. Sumanasekera FCA

T.J.S. Rajakarier FCA
W.K.D.C. Abeyaratne FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA
R.W.M.O.W.D.B. Rathnadiwakara FCA

W.W.J.C. Perera FCA
G.A.U. Karunaratne FCA
R.H. Rajan FCA
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA (UK), LLB, Attorney-at-Law; H.S. Goonewardene ACA, Ms. F.R. Ziyad FCMA (UK), FCIT, K. Somasundaram ACMA (UK), R. G. H. Raddella ACA, Ms. D. Corea Dharmaratne



- (f) Considered whether the Director's Statement on Internal Control covers the year under review and that adequate processes are in place to identify any significant matters arising.
- (g) Obtained written representations from Directors on matters material to the Statement on Internal Control where other sufficient appropriate audit evidence cannot reasonably be expected to exist.

SLSAE 3051 does not require us to consider whether the Statement covers all risks and controls, or to form an opinion on the effectiveness of the Company's risk and control procedures. SLSAE 3051 also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgment, having regard to our understanding of the nature of the License Finance Company, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included on pages 306 to 307 of this annual report is inconsistent with our understanding of the process the Board of Directors have adopted in the review of the design and effectiveness of internal control system of the License Finance Company.

CHARTERED ACCOUNTANTS
Colombo

30 May 2025

RESPONSIBILITY STATEMENT OF MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER

The Financial Statements of LB Finance PLC (the Company) and the Consolidated Financial Statements of the Company and its Group Companies (the Group) as of 31 March 2025 are prepared and presented in compliance with the following regulatory requirements:

- I. Sri Lanka Accounting Standards (SLFRS/ LKAS) issued by The Institute of Chartered Accountants of Sri Lanka
- II. Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- III. Statements of Alternative Treatments (SoAT) on Accounting issued by The Institute of Chartered Accountants of Sri Lanka
- IV. Companies Act No. 7 of 2007
- V. Finance Business Act No. 42 of 2011
- VI. Finance Leasing Act No. 56 of 2000
- VII. Directions, circulars and guidelines issued to licensed Finance Companies by the Central Bank of Sri Lanka.
- VIII. Listing Rules of the Colombo Stock Exchange (as amended)
- IX. The Code of Best Practice on Corporate Governance issued jointly by The Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka (2023)

The formats used in the preparation of Financial Statements and disclosures made in this Annual report and interim Financial Statements comply with the specified formats described by the Central Bank of Sri Lanka.

The Company presents the financial results to its shareholders every quarter.

The Group has consistently applied the material Accounting Policies. The Accounting Policies of the Company and the Group are in compliance with Sri Lanka Accounting Standards (SLFRS/LKAS) issued by The Institute of Chartered Accountants of Sri Lanka.

Significant Accounting Policies and estimates that involve a high degree of judgment and complexity were discussed with the Board Audit Committee and the

External Auditors. Comparative information has been reclassified wherever necessary to comply with the current year's presentation. All significant items have been disclosed and explained through Notes to the Financial Statements. We confirm to the best of our knowledge, that the Financial Statements presented herewith give a true and fair view of the Financial Position, Statement of Profit or Loss and the Cash Flows of the Company and the Group for the year. Furthermore, we believe that the Company and the Group have adequate resources to continue its operations in the foreseeable future and accordingly adopt the going concern basis for the preparation of the Financial Statements.

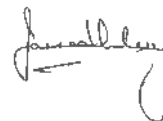
The Board of Directors and the Management of the Company and the Group accept responsibility for the integrity and the objectivity of the Financial Statements. The estimates and judgments relating to the Financial Statements were made on a reasonable and prudent basis; so that the Financial Statements reflect a true and fair view; the form and the substance of transactions and that the state of affairs of the Company and the Group is reasonably presented. To ensure this, the Company and the Group have taken proper and sufficient care in implementing internal control systems, with the use of a comprehensive core banking system, for safeguarding assets and for preventing and detecting fraud as well as other irregularities, which is reviewed, evaluated, and updated on an ongoing basis. The Internal Auditor of the Company and the Group has conducted periodic audits to provide reasonable assurance that the established policies and procedures of the Company and the Group are consistently followed. However, there are inherent limitations that should be recognised in weighing the assurance provided by any system of internal control and accounting.

The Financial Statements of the Company and the Group were audited by Messrs. KPMG, Chartered Accountants. The Report issued by them is available on page 351 of the Annual Report. The audit and non-audit services provided by Messrs. KPMG are approved by the Board Audit Committee in line with the relevant audit policy and to ensure that such services do not impair

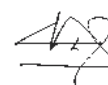
Messrs. KPMG's independence. The Board Audit Committee reviews the adequacy and the effectiveness of the Internal Control Systems including the effectiveness of the internal controls over financial reporting. This review ensures that all transactions are accurately and completely recorded in the books of account and that compliance with Sri Lanka Accounting Standards (SLFRS/LKAS) and other regulatory provisions relating to financial reporting and disclosures is maintained. The Board Audit Committee Report is available on pages 289 to 293. To ensure complete independence, the External Auditors and the Internal Auditors have full and free access to the members of the Board Audit Committee to discuss any matter of substance.

We confirm to the best of our knowledge that,

- The Company and the Group have complied with all applicable laws, rules, regulations and guidelines;
- There is no material non-compliance;
- There is no material litigation against the Company and the Group other than those disclosed in Note 3.5.3 on page 453 of the Financial Statements section of Annual Report;
- All taxes, duties, levies and all statutory payments by the Company and the Group and all contributions, levies and taxes payable on behalf of and in respect of the employees of the Company and the Group as at the reporting date have been paid, or where relevant provided for.



Sumith Adhihetty
Managing Director



Malith Hewage
Chief Financial Officer

30 May 2025

INTEGRATED RISK MANAGEMENT REPORT



Risk management is the cornerstone of strategic decision-making and long-term value creation at LB Finance (LBF). Our ability to identify, assess, and manage risk across all dimensions of the business ensures resilience in the face of uncertainty and supports our long-term growth agenda. Being a non-bank financial institution with systemic importance, LBF was alert to changes in the external risk environment, such as fluctuations in the economy, modifications to regulations, and challenges unique to its industry. The Company kept improving its risk oversight procedures and strengthening its internal control environment throughout the year. In order to better anticipate, respond to, and manage current and emerging risks, investments were made in enhancing risk analytics, modernising technological platforms, and developing staff capabilities. This continuous dedication guarantees the stability and resilience of our operations amidst a rapidly evolving financial landscape.

Aligned with regulatory guidelines and global best practices, we've now woven sustainability and climate risk management into our overall risk framework. This report reflects how these important areas are being addressed across the organisation.

1. RISK UNIVERSE

At LBF, we face a wide range of risks—financial, non financial, and those tied to sustainability and climate. By clearly categorising them, we're able to take a more structured and forward-thinking approach to managing risk across the business.



2. RESILIENT RISK MANAGEMENT: 2024/25 KEY OUTCOMES

